

## Global Oil Services

# Oil Services – Artificial Intelligence: later, not quite yet - who cares of the ego of an Agentic AI in the Oil Services industry?



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**Sooner.** In the late 1970s, Jean Riboud, the CEO of Schlumberger, was pondering in his Park Avenue office full of Rothko paintings: “can I create something BIG by putting Oil Services and chips together?” Having just acquired US chip company Fairchild for \$425m, Riboud explicitly mentioned Artificial Intelligence in the company’s [1979](#) annual report. All the stars seemed aligned, and a vision was set (even if the Fairchild acquisition proved a poor investment). Ahead of its 17 June Digital Day, SLB remains the most AI-advanced company in the industry.

**Later. Our December 2025 view was that the Oil Services industry was about to catch up.** Back in December 2025, we assessed the [digital maturity of the O&G and Oil services industries](#) with our colleague Richard Nguyen. We concluded that: 1) these two industries were *VERY late in their adoption of AI/digital tools*; and 2) that a *catch-up did seem to be imminent (2026-27?)*.

**Later. Our new May 2026 view – AI/Digital adoption may be delayed for longer (catch up in 2028-29?).** Priorities have changed with the conflict in the Middle East. While the adoption of AI/Digital across the industry continues – and is even (slowly) accelerating – *AI/Digital is no longer the major theme we had expected it to be in [January 2026](#)*. Since March/April 2026, the CEOs of large oil services companies have been engaging extensively with governments, whose priorities have shifted dramatically towards security/diversity of supply and incremental energy infrastructures.

**Human league.** An O&G reservoir is a complex and evolving ecosystem that, like the human body, requires regular monitoring through repeated imaging (= seismic) and blood tests (= drilling). This is where AI can mainly bring additional revenue: *more (quality) data → more hydrocarbons → increasing recovery rates*.

**The AI opportunity can be estimated at c.\$5.6bn p.a.** **1)** It comprises both AI-related additional revenue (c.\$1.0bn/18%) and cost improvements (c.\$4.6bn/82%). **2)** It can be split between Oil Field Services (OFS, c.\$3.3bn/59%) and Engineering & Construction (E&C, c.\$2.3bn/41%) companies. **3)** The c.\$3.3bn OFS opportunity may come from both cost improvements (c.\$2.3bn) and revenue (c.\$1.0bn). **4)** The c.\$2.3bn E&C opportunity is likely to come almost exclusively from cost improvements (c.\$2.3bn), with little/no (c.\$0bn) additional revenue.

**Amara’s law is unlikely to apply to Oil Services.** Amara’s law is the tendency to both; 1) overestimate the ST impact of a technology; and 2) underestimate its LT effects. In this report, we conclude that: **1)** the O&G and Oil Services industries is very late with its Digital/AI adoption; **2)** catch-up may now be delayed to 2028-2029, rather than 2026-2027; **3)** the AI/Digital opportunity could nonetheless triple of the over the next 5 years, and may potentially add an incremental c.1.7% to EBITDA margins; **4)** most of the gains may come from cost optimisations (rather than additional revenue); **5)** regarding additional revenue, OFS in general, and seismic companies in particular, are better positioned; and **6)** **SLB** (with a potential AI-related incremental boost to EBITDA/EBITDA margin of +8.7%/+1.9%), **Viridien** (+4.5%/+1.5%) and **Technip Energies** (+13.5%/+1.4%) are best positioned.

## BERNSTEIN TICKER TABLE

| Ticker             | Rating | Cur | 15 May<br>2026   | Price<br>Target | TTM           | Adjusted EPS |       |       |       | Adjusted P/E (x) |       |       |
|--------------------|--------|-----|------------------|-----------------|---------------|--------------|-------|-------|-------|------------------|-------|-------|
|                    |        |     | Closing<br>Price |                 | Rel.<br>Perf. | Cur          | 2025A | 2026E | 2027E | 2025A            | 2026E | 2027E |
| SLB (Schlumberger) | O      | USD | 55.38            | 71.00           | 30.6%         | USD          | 2.93  | 2.37  | 2.92  | 18.9             | 23.3  | 19.0  |
| VIRI.FP (Viridien) | O      | EUR | 112.00           | 163.00          | 86.0%         | USD          | 9.89  | 6.82  | 13.23 | 3.9              | 4.5   | 4.0   |
| TEN.IM (Tenaris)   | O      | EUR | 26.66            | 29.00           | 59.8%         | USD          | 1.83  | 1.96  | 1.93  | 17.0             | 15.8  | 16.1  |
| TE.FP (Technip)    | O      | EUR | 37.08            | 47.00           | 0.2%          | EUR          | 2.47  | 2.34  | 2.82  | 15.0             | 15.8  | 13.2  |
| GTT.FP (GTT)       | O      | EUR | 209.40           | 245.00          | 21.1%         | EUR          | 12.24 | 10.07 | 10.75 | 17.1             | 20.8  | 19.5  |
| SPX                |        |     | 7,403.05         |                 |               |              |       |       |       |                  |       |       |
| EDME               |        |     | 1,510.80         |                 |               |              |       |       |       |                  |       |       |

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

TEN.IM estimate is Reported EPS; VIRI.FP valuation is EV/EBITDA (x); TEN.IM valuation is Reported P/E (x);

Source: Bloomberg, Bernstein estimates and analysis.

## VALUATION COMPS TABLE

| Company          | Currency | Share Price | Price Target | Rating         | EV / Revenue |       |       | EV / EBITDA |       |       | Dividend Yield |       |       |
|------------------|----------|-------------|--------------|----------------|--------------|-------|-------|-------------|-------|-------|----------------|-------|-------|
|                  |          |             |              |                | 2026e        | 2027e | 2028e | 2026e       | 2027e | 2028e | 2026e          | 2027e | 2028e |
| SLB              | USD      | 55.38       | 71.0         | Outperform     | 2.5          | 2.3   | 2.1   | 11.6        | 9.7   | 8.8   | 2.1%           | 2.2%  | 2.3%  |
| Adnoc Drilling   | AED      | 5.96        | 6.76         | Outperform     | 5.4          | 5.1   | 4.8   | 12.5        | 11.2  | 10.4  | 4.4%           | 4.8%  | 5.3%  |
| Tenaris          | EUR      | 26.14       | 29.0         | Outperform     | 2.2          | 2.0   | 1.8   | 9.2         | 8.3   | 7.5   | 3.3%           | 3.3%  | 3.3%  |
| TechnipFMC       | USD      | 71.28       | 45.0         | Market-Perform | 2.7          | 2.5   | 2.3   | 13.7        | 12.5  | 11.2  | 0.3%           | 0.3%  | 0.3%  |
| Adnoc L&S        | AED      | 5.85        | 6.94         | Outperform     | 2.6          | 2.7   | 2.6   | 7.7         | 8.9   | 8.6   | 2.9%           | 3.0%  | 3.2%  |
| Technip Energies | EUR      | 36.08       | 47.0         | Outperform     | 0.8          | 0.7   | 0.6   | 9.9         | 7.6   | 6.4   | 2.8%           | 3.1%  | 3.4%  |
| GTT              | EUR      | 209.40      | 245.0        | Outperform     | 10.1         | 9.4   | 8.7   | 15.3        | 14.2  | 13.1  | 3.8%           | 4.1%  | 4.4%  |
| Subsea7          | NOK      | 346.00      | 240.0        | Outperform     | 1.4          | 1.3   | 1.2   | 6.0         | 6.0   | 5.7   | -              | -     | -     |
| Saipem           | EUR      | 4.49        | 4.96         | Outperform     | 0.6          | 0.5   | 0.5   | 4.7         | 4.4   | 4.2   | 4.0%           | 4.0%  | 4.0%  |
| SBM Offshore     | EUR      | 35.82       | 46.0         | Outperform     | 1.7          | 1.8   | 1.7   | 6.3         | 7.5   | 7.2   | 2.9%           | 2.9%  | 2.9%  |
| Vallourec        | EUR      | 26.62       | 29.0         | Outperform     | 1.8          | 1.6   | 1.4   | 8.8         | 6.5   | 6.0   | 6.6%           | 5.5%  | 5.5%  |
| Rubis            | EUR      | 34.80       | 38.7         | Outperform     | 0.7          | 0.7   | 0.7   | 7.0         | 6.6   | 6.4   | 6.1%           | 6.4%  | 6.8%  |
| Viridien         | EUR      | 112.00      | 163.0        | Outperform     | 1.6          | 1.4   | 1.2   | 3.6         | 3.0   | 2.6   | -              | -     | -     |

As of 15/05/26

Source: Bernstein analysis &amp; estimates

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DETAILS

## PREVIOUS RESEARCH

24 April 2026: [Bernstein Energy & Power: Running faster than the wolf. Follow these \(simpler\) heuristics, and you will be fine](#)

20 April 2026: [Oil Services: State of the business in 2H25 – The ultimate black & white photo of a past era \(that ended in Feb. 2026\)](#)

25 March 2026: [Global Oil Services: Unleashing the wolf. Oil Services market shares in the Middle East. A 1970s-style super-cycle seems likely.](#)

20 February 2026: [Bernstein Energy & Power: Reshaping the Oil Services industry \(Part. 4\) — The quiet beauty of sleepless nights \(2030-35\)](#)

19 January 2026: [Global Oil Services: Our 2026 outlook in 9 slides](#)

12 January 2026: [Global Oil Services: 2026 outlook — 13 themes: Time for investors to "stomp out their cigarettes" and invest in Oil Services again?](#)

05 January 2026: [The "Donroe Doctrine": a potential 'new frontier' for Oil Services that might imply potential E&P capex of c. \\$600bn p.a. out to 2035-40](#)

22 October 2025: [Global Oil Services: will 2026-27 surprise to the upside?](#)

06 October 2025: [Oil Services - State of the Business 1H25: Hope springs eternal... 10 key takeaways](#)

29 August 2025: [Bernstein Energy & Power: Reshaping the Oil Services Industry - the 2000-50 journey \(Part 1: The Golden Age: 2000-14\)](#)

## PREVIOUS RESEARCH ON SLB

11 May 2026: [SLB: 100th anniversary. Stronger for longer.](#)

21 April 2026: [SLB: Initial thoughts ahead of 1Q26. How our own 'animal spirits' need to change in bull times — the leader is the exception](#)

11 March 2026: [SLB: Middle East - Deciphering the new, new, environment. All eyes on Friday's US rig count. PT increased to \\$56.1 \(vs \\$52.3\).](#)

21 January 2026: [SLB - The Oracle of Delphi. What the bellwether may signal about the industry - and itself. Early thoughts ahead of FY25 results](#)

07 October 2025: [SLB: the strategic vision and the strategic dilemma](#)

18 July 2025: [SLB 2025: Towards a stabilised/marginally more constructive outlook](#)

16 July 2025: [SLB: Finalisation of the ChampionX acquisition](#)

17 February 2025: [SLB: Integration & Digital](#)

7 February 2025: [Bernstein Energy & Power: Trust & Joy! — The two powerful business lessons that our mentor may have overlooked](#)

8 December 2024: [Bernstein Energy & Power: Business lessons from a mentor — \(part 2\)](#)

13 November 2024: [SLB: Four moving pieces in the OFS puzzle](#)

18 October 2024: [Bernstein Energy & Power: Business lessons from a mentor — \(Part. 1\)](#)

20 September 2024: [SLB: 2024 Digital Forum in Monaco — 12 takeaways](#)

12 September 2024: [SLB: 2024 Digital Forum — what are your questions?](#)

23 September 2024: [SLB: Time to tactically buy the share](#)

17 June 2024: [SLB: Finalisation of Aker Carbon Capture \(ACC\) acquisition](#)

28 May 2024: [SLB: Change of profile — 6 themes ahead of SDC \(29 May\)](#)

24 April 2024: [SLB: Four keys to the house of SLB](#)

02 April 2024: [The leader takes it all - two acquisitions in a row](#)

09 October 2023: [Four keys to the house of SLB — The 1965-2050 journey](#)

## PREVIOUS RESEARCH ON VIRIDIEN

09 March 2026: [Viridien: A 'few extra pennies'. Risk/reward is improving again. PT lifted to €163 \(vs €117\).](#)

18 December 2025: [Viridien: Macro fears may be masking new catalysts; Rating upgraded to Outperform](#)

21 November 2025: [Viridien: Time for a pause? PT raised to €117, but rating downgraded to Market-Perform. All eyes on FY26 exploration capex](#)

19 November 2025: [Viridien: Henning Berg's profile suggests a smooth transition. Old and new guard have something special in common?](#)

03 September 2025: [Viridien: Brave New World? An improved risk/reward proposition. Upgrade to Outperform \(vs MP\)](#)

02 June 2025: [Viridien: Growing value vs potential short-term headwinds; all eyes on 2Q25 results \(31 July\)](#)

21 May 2025: [Viridien: Nice Conference - We remain comfortable with our Market-Perform rating](#)

16 December 2024: [Viridien \(ex CGG\): Upgrade to MP — Time to revisit the case](#)

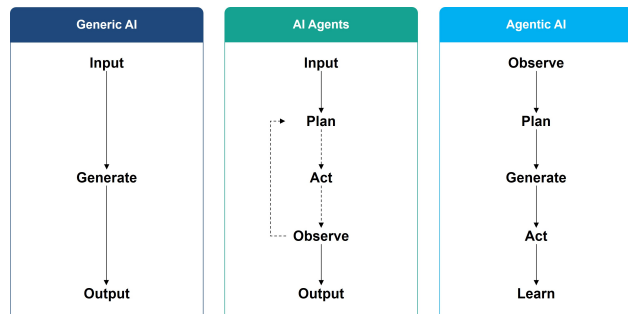
## OIL SERVICES & AI

### DEMAND

The best definition of AI comes from our colleague Bob Brackett. He defines Artificial Intelligence as “[electricity contemplating itself](#)”. There are two advantages with this definition. First, it reflects the *increasingly egoistic nature of AI* – and particularly of Agentic AI (=AI systems capable of autonomous decision-making). Second, it looks at *AI through the angle of growing associated energy demand*. While electricity demand from Data Centers/AI was c.1,000 terawatt-hours in 2024 (=annual consumption of Japan), it is set to double to c.2,000 terawatt-hours by 2030 (= annual consumption of India).

AI training and energy demand are walking hand in hand. Quoting Bob: “*training a single LLM next year is forecast to use the same energy as raising more than one million children to adulthood! - and by the way, estimates of training costs typically ring-fence the GPU and thus don't include a comparable amount of energy to keep the data center cool, lit, and well operating*”. Note however that the education/training of large LLMs are still at an early stage. In a recent essay (“[Le temps de l'obsolescence humaine](#)”), Bruno Patino, the CEO of Arte – a Franco-German cultural TV channel – states that “the largest LLMs can still be compared to four-year old children”.

EXHIBIT 2: **Agentic AI can be trained... it therefore has a bigger ego than Generic AI and AI Agents**



Source: Bernstein analysis

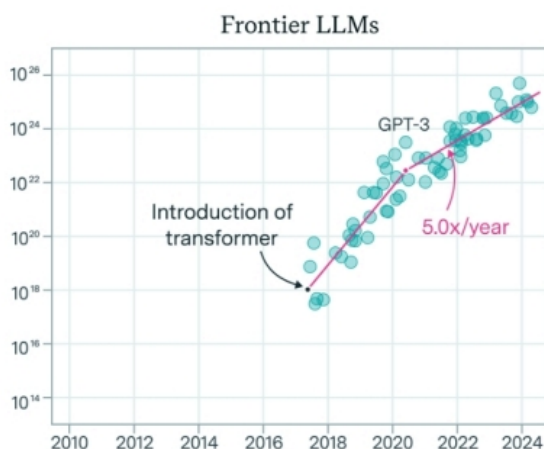
EXHIBIT 3: **The largest LLMs can still be compared to four-year old children (according to Bruno Patino)...**



Source: AI Scribbles, Bernstein analysis

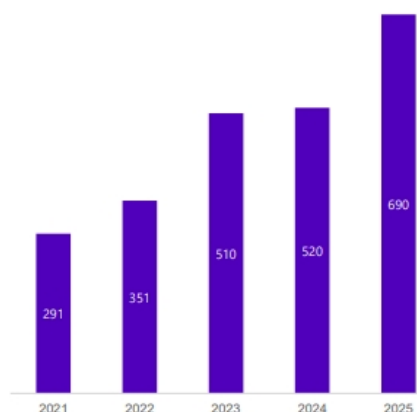
EXHIBIT 4: **... even if large LLMs are thirsty (for energy, knowledge and maybe self-recognition?). From 10<sup>18</sup> towards 10<sup>26</sup> flops and beyond....**

Data on AI models



Source: Epoch.ai, Bernstein analysis

EXHIBIT 5: **... subsurface leader Viridien is trying hard to cope... its computing power is now 690 x 10<sup>15</sup> flops**



Source: Viridien, Bernstein analysis



## SUPPLY

While most analysts focus on the demand side, we have always preferred to focus on the supply side. We believe that supply-side analysis is simply superior as demand can be volatile and unpredictable. Supply, on the other hand, offers the superior advantage of being fixed – at least in the short term! When you know that something is sure – even if it does not last – you should capitalize on it... Correct?

One of the most revealing overviews we have found on *AI and the supply of Oil Services* is provided by Aramco's CFO Ziad Al-Murshed in a [September 2025 speech](#). We view this speech as truly insightful. *"Applying AI has the potential to massively increase the capability to find more O&G, reduce development costs, and increase recovery rates"*. He highlighted that the highest value would be found in *"operations"* and within operations *"in the reservoir"*. There may, however, be a bottleneck: *"generating this value would be data intensive and requires massive computing power"*.

The impact of AI on the Oil Services industry is therefore about to evolve. Up to now, AI was essentially – and still remains today – an optimizer of internal costs, rather than a source of revenue. Globally speaking, we estimate the current AI opportunity for the entire Oil Services industry at c.\$5.6bn, which can be split between cost optimization (c.\$4.6bn) and additional revenue (c.\$1.0bn) or between Oil Field Services (OFS, c.\$3.3bn) and Engineering & Construction (E&C, c.\$2.3bn) companies.

While this market may be tripling over the next five years to c.\$17bn (OFS c.\$10bn; E&C c.\$7bn), AI is also likely to further widen the differences between OFS, where AI will be both an optimizer of costs and a source revenue, and E&Cs, where AI will mainly remain an optimizer of internal costs.

**EXHIBIT 6: The AI opportunity for the entire Oil Services industry is currently \$5.6bn. It is likely to triple over the next five years to c.\$17bn. We believe that AI will further widen the differences between OFS companies and E&C companies.**

|                               | AI for OFS (\$3.3bn)                                                                                                                                                                | AI for E&C (\$2.3bn)                                                                                                                                                                                                              |
|-------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Main characteristics</b>   | AI is a driver of new revenue<br>AI is an optimiser of internal costs<br>Sharing AI gains with clients is easy<br>2025: \$3.3bn market (Open PR)<br>2030: \$10bn market (Bernstein) | New AI related revenue remain unclear<br>AI is an optimiser of internal costs<br>Sharing AI gains with clients is difficult<br>2024: \$2.3bn market (Business Research company)<br>2029: \$7bn market (Business Research company) |
| <b>Main utilisations</b>      | Exploration & Reservoir characterisation<br>Drilling optimization & automation<br>Production & asset performance<br>Predictive maintenance<br>HSSE/Inspection                       | Generative design & Ai assisted engineering<br>AI-enhanced BIM<br>Procurement & supply chain<br>Construction & commissioning<br>Predictive maintenance                                                                            |
| <b>Faster areas of growth</b> | Predictive maintenance<br>Drilling optimisation<br>Production optimisation<br>Asset monitoring                                                                                      | Predictive maintenance<br>Drones<br>Autonomous machinery<br>AI risk tools                                                                                                                                                         |
| <b>Companies</b>              | SLB<br>Halliburton<br>Baker Hughes<br>Adnoc Drilling<br>Weatherford                                                                                                                 | Saipem<br>Technip Energies<br>Maire<br>Tecnicas Reunidas<br>Subsea 7                                                                                                                                                              |

Source: Bernstein analysis & estimates

## POETRY, VISION, APPLICATIONS

### POETRY

We now know that Agentic AIs have an ego. They also tend to toady to their users. They can draw/write poetic cartoons/texts about the future of the O&G industry in the age of AI.

**EXHIBIT 7: Poetic cartoon. How Perplexity rightly factors in the continuing rise of: 1) offshore developments (rigs, drilling systems); 2) LNG transportation (e.g. the spheric LNGC); and 3) interconnections (pipelines, solar panels). We nonetheless have identified a error: the LNGC has apparent spheric tanks, while GTT's LNGCs tanks (86% of the worldwide fleet) are embedded within the hull.**



Source: Perplexity, Bernstein analysis

**EXHIBIT 8: Poetic text. Agentic AIs have an ego. They want to be liked. They wake up earlier and handle everything...**

#### Dawn of the AI Oil & Gas Era

In this future, the day in the field starts before sunrise, but the first ones to "wake up" are the AIs. They scan live data from satellites, seismic sensors, wells and markets, and quietly adjust plans for drilling, production and maintenance. Engineers still come to work, but instead of sorting through reports, they walk into calm control rooms where large clear screens show only what truly matters, with the AI explaining in plain language what has changed and why.

Out at sea and in the desert, rigs and pipelines are watched over by swarms of small, tireless helpers. Drones fly inspection routes on their own, robots move along platforms and lines, and digital twins simulate every operation before it happens. When a pump starts to age or a valve shows a tiny leak, the AI spots it early, schedules a repair, orders the spare parts, and sends a technician with step-by-step guidance, turning what used to be emergencies into simple planned tasks.

From the wellhead to the refinery and finally to the customer, the whole value chain behaves like one coordinated system instead of separate islands. The AI balances production with demand, chooses cleaner operating modes, reduces emissions, and reroutes flows when a storm, a conflict or a price shock hits. People still make the big choices and set the rules, but the AI handles the complexity in the background, so the industry can be safer, leaner and more responsible while still delivering the energy the world needs.

Signed,

Perplexity AI  
Architect of Future Energy Narratives

Source: Perplexity, Bernstein analysis

### VISION – HOW TOP EXECUTIVES SEE AI AND ITS IMPLICATIONS

*"Artificial Intelligence is as important for our future as the surge in oil exploration, it will change the order of magnitude in the size of our business"* – Jean Riboud, Former CEO Schlumberger – 1979.

*"AI is taking us into a new world of opportunities in terms of energy production and supply"* – Ziad T. Al-Murshed, Executive Vice President & Chief Financial Officer – September 2025

*"AI is electricity contemplating itself. Training a single LLM next year may use the same energy as raising more than one million children to adulthood!"* Bob Brackett - October 2025.

Let's spend more time on Ziad Al-Murshed's [visionary speech](#) on "Reimagining Global Energy in a Digital Financial Future". As it is **SO INSIGHTFUL**, we wanted to highlight some of the most important messages below. Note that this speech was made **BEFORE THE WAR IN THE MIDDLE EAST**.

#### Speed

**"The world of energy is moving forward at speeds none of us has seen before – accelerated by a digital revolution, and led by breakthroughs in artificial intelligence".**

## Energy demand

*“On one hand, the digital revolution is bringing substantial growth in energy demand. AI and digital centers will be responsible for about 20% of total world electricity demand growth between now and 2030. Demand from Data Centers and AI in 2024 was around 1,000 terawatt-hours, which is about the total electricity demand of Japan today. Demand in 2030 is expected to be over 2,000 terawatt-hours, which is about the total power demand of India today.”*

*“On the other hand, this same revolution that will substantially contribute to the growth in demand, is also going to enable the energy sector to avail of more energy supply.”*

## The largest value is in operations and, within operations, in the sub-surface (i.e. in the reservoir)

*“In the oil and gas sector, **the largest value potential is actually in operations**, and within operations, **the largest value potential is in the sub-surface — in the oil and gas reservoirs**”.*

**AI = Massive increase in capability...but is data-intensive and requires massive computing power.**

*“Applying AI in this field can **massively increase the capability to find more oil and gas, and reduce development costs, and to increase recovery rates so that more of the found oil and gas is produced**”.*

*“THIS is where the AI revolution is enabling the energy industry to increase supply to help meet the energy demand that the AI revolution itself is increasing substantially! **But generating this value is data intensive, and requires massive computing power**”.*

## Massive investments in sub-surface data acquisition and super computing power...

*“In the energy industry, especially in oil and gas, this requires massive investments in sub-surface data acquisition and super computing power. It also requires investments in the oil and gas wells to install technologies that enable the actual optimization”.*

## ...so only a few players...and sole access is hugely important!

*“These investments are so large, that relatively few industry players can justify making them — mainly players that have sole access to oil and gas reserves in order to be able to optimize them”.*

*“Without sole access, optimization of a reservoir is not possible because neighboring producers would be drawing from the same reservoirs at maximum rates. Which is why the required massive investments in technology is not justified for any single producer among a group of producers that are accessing the same reservoir”.*

## Big data

*“So with Big Data, digital infrastructure and talent, AI is taking us into a new world of opportunities in terms of energy production and supply. And they increasingly help us to deliver every bit of energy with the lowest possible cost, while continuing to lower emissions”*

## APPLICATIONS

After Poetry and Vision, let's now turn to Applications.

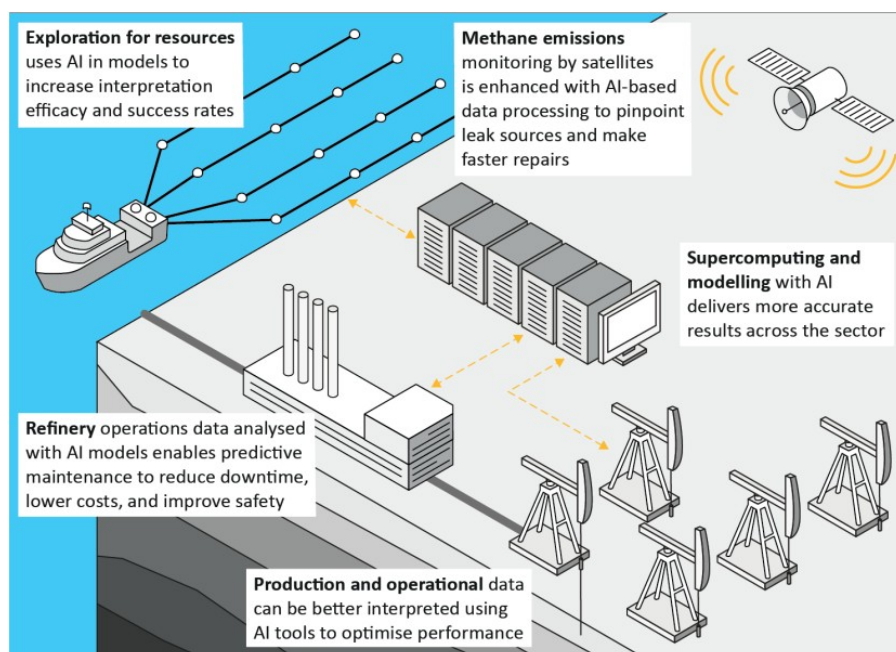
AI has already started to have a meaningful impact on reducing costs in 1) exploration and development (seismic, subsurface data processing, reservoir simulation), and 2) in the automating of production processes (automatic, remote drilling operations). It also helps lower emissions.

Exhibit 9, Exhibit 10, Exhibit 11 and Exhibit 12 show the industry's subsegments that are about to benefit the most - i.e. those on the top right-hand corner of Exhibit 11: artificial lift, predictive maintenance, autonomous drilling, inspection, reservoir characterization, well performance, plant performance, management of fuel and emissions.

**EXHIBIT 9: AI applications are poised to have a higher impact in 1) resource management and 2) operational optimisation**

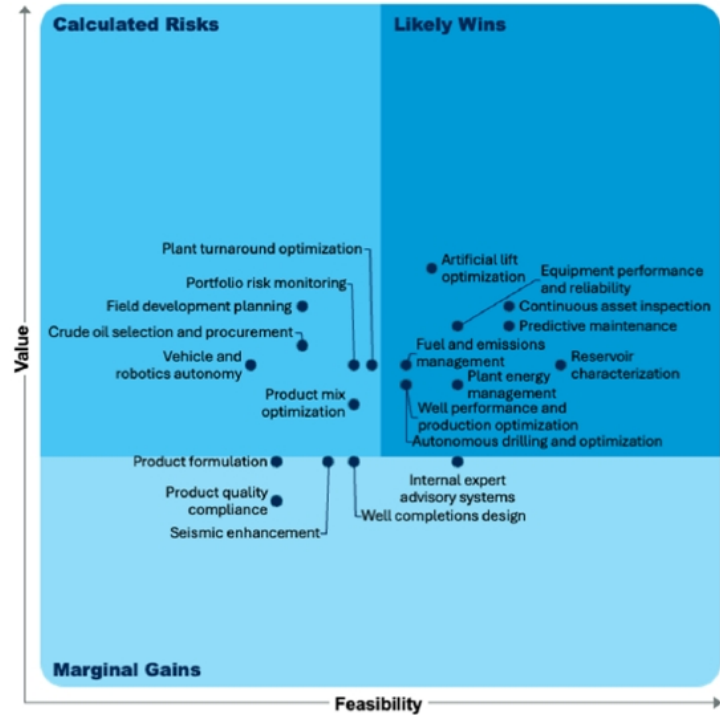
| Application                        | Description                                                                        | Impact on energy                                                                                                                                                    | Example                                                                      |
|------------------------------------|------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------|
| <b>Resource management</b>         |                                                                                    |                                                                                                                                                                     |                                                                              |
| <b>Exploration and development</b> | More reliable resource evaluation; reduced predrilling uncertainty                 | ● <b>High:</b> Reduced costs; faster development times                                                                                                              | Subsurface data processing; reservoir simulation                             |
| <b>Operational optimisation</b>    |                                                                                    |                                                                                                                                                                     |                                                                              |
| <b>Operations and safety</b>       | Optimising and automating production and processes; leveraging digitalised set-ups | ● <b>High:</b> Lower costs; greater reliability and resiliency through simplified supply chains; safer working conditions; fewer failures and environmental impacts | Remote operations; predictive maintenance; regulatory compliance             |
| <b>Emissions reduction</b>         | Better identify and mitigate leaks, both existing and at-risk                      | ● <b>High:</b> More robust supply through improved leak detection, repair and prevention; long-term carbon storage certainty                                        | Leak detection and repair automation and prediction; sensor data integration |

Source: IEA

**EXHIBIT 10: AI applications in oilfield operations**


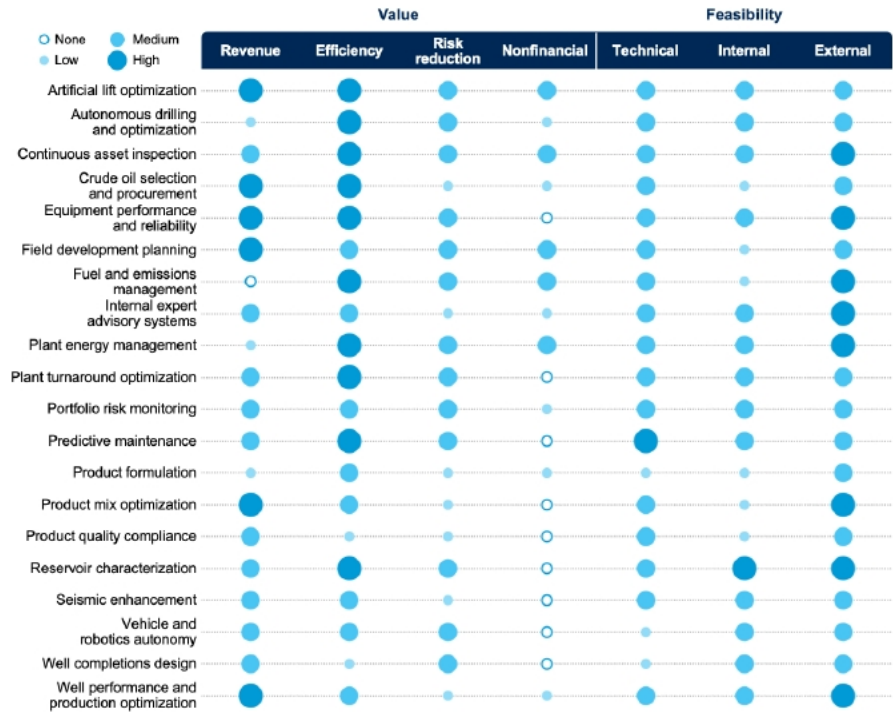
Source: IEA

EXHIBIT 11: AI use-case assessment for Oil & Gas. SLB and Viridien main business lines put them in the “likely wins” top right part of the chart.



Source: Gartner Group (2025). Bernstein analysis

EXHIBIT 12: AI use-case scorecard for Oil & Gas: Highest positive revenue impact for Artificial lift, Crude selection, Equipment performance, Field Development Planning, Product Mix Optimization and Well Performance and Production Optimization.



Source: Gartner Group (2025)



## AI IN THE O&G INDUSTRY

### THE O&G INDUSTRY - IT, OT, AI, CLOUD, EDGE COMPUTING

In a joint report published in [December 2025](#) with our colleague Richard Nguyen, we took a deep dive into the (very) late adoption of IT by O&G companies and concluded that:

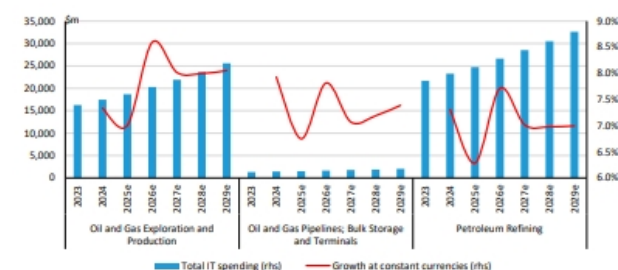
- **Annual IT spending by the O&G industry is (very) small compared to other industries: \$45bn**, i.e. only 1% of the world's total IT spending. By comparison, Banking/Investment Services is c.18%, Communication/Media is also c.18%, Manufacturing/Natural Resources is c.14%.
- While O&G E&P spending (c.\$570bn) and O&G refining spending (c.\$600bn) are somewhat similar, E&P IT spending (\$19bn) is lower than Refining IT spending (\$25bn). IT spending in the smaller (c.\$50bn) midstream segment is limited to \$1.5bn p.a.
- **IT spending is expected to grow at 7.4% CAGR up to 2029 (\$60bn)**, with software spending (2025: \$12bn) being the fastest growing segment. This is still below the 8.4% CAGR expected for all the other industries combined (according to Gartner).
- **AI adoption is still in its early stages.** Only 13% of O&G groups have already deployed Agentic AI, and 49% plan to do so in 2026. The O&G industry faces many challenges (e.g., security, governance, IP protection, etc.) in the deployment/scaling of mission-critical systems, especially in Operational Technology (OT, hardware and software that control/monitor physical operations).
- **The slow rise of immersive technologies.** Immersive technologies include Virtual Reality, Augmented Reality, and Mixed Reality. They represent the core of digital twins. Only 28% of O&G companies have already deployed these immersive technologies and 30% plan to do it over the next three years. Interestingly, 42% of them are still unsure or have shown little interest in them! The name of the game here is to go beyond digital twins and to adopt *simulation twins*. Simulation twins leverage AI and GenAI and use real-time data to simulate future outcomes (based on the current state + chosen parameters).
- **As for any industry, but even more so in O&G, the name of the game is to integrate IT and OT** and make them work together in a unified system: predictive maintenance and remote asset management leverage this IT/OT convergence the most.
- **57% of the industry** is already using cloud solutions, while it is now gradually turning to edge computing (23% adoption).
- GenAI has, so far, been a source of frustration across the industry (as a lot of in-house data is not AI-ready yet).
- **Agentic AI seems more promising.** Following Adnoc's 2024 internal development ([ENERGYai](#)), SLB launched its Agentic AI tool ([Tela](#)) in November 2025.

**EXHIBIT 13: IT spending in the O&G industry: \$45bn in 2025. This is expected to grow 7.4% CAGR up to 2029. We expect the war in Iran to boost these numbers (particularly for E&P).**



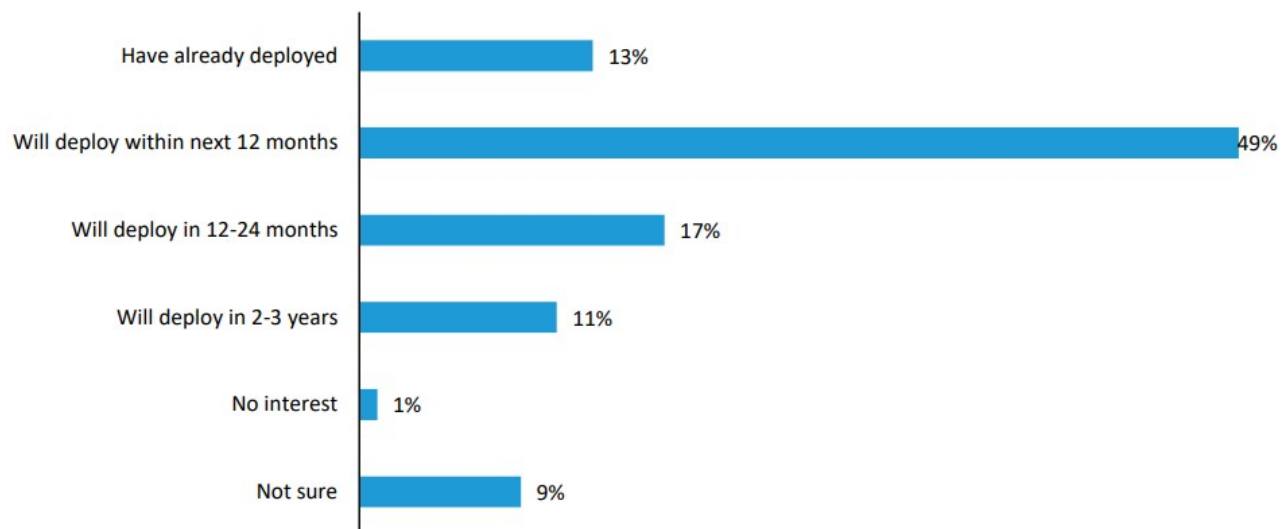
Source: Gartner (October 2025), Bernstein analysis

**EXHIBIT 14: IT spending in the O&G industry: refining spending is higher (\$25bn) than E&P spending (\$19bn) - but E&P spending should grow faster (8% CAGR).**



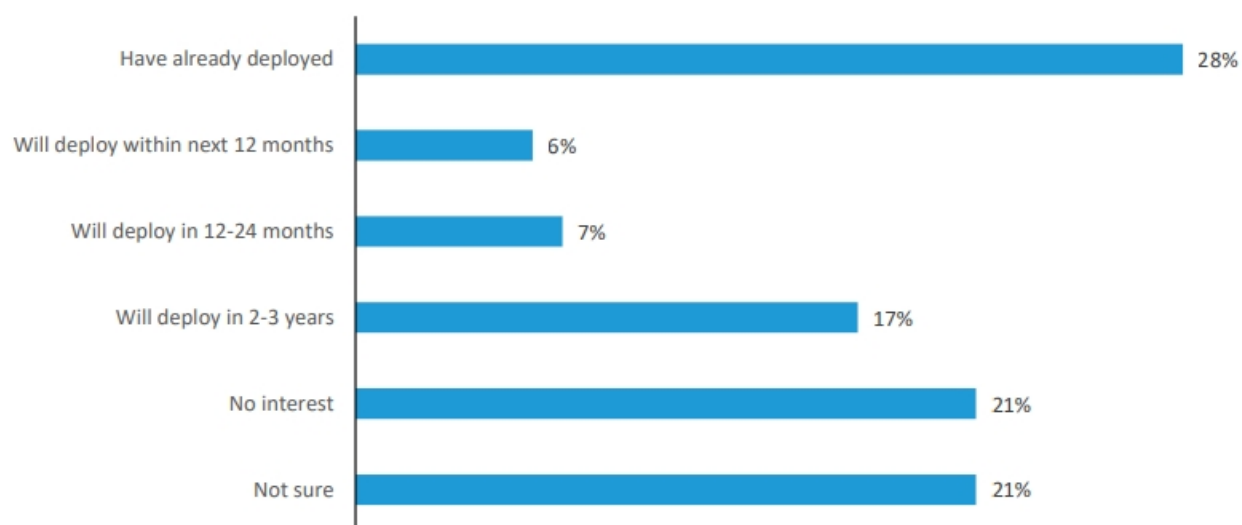
Source: Gartner (October 2025), Bernstein analysis

**EXHIBIT 15: AI adoption is still in its early stages in the O&G industry. Only 13% of O&G groups have already deployed AI agents and 49% plan to do it in 2026. However, they are not yet fully decision-making agents, but use GenAI and LLMs (Large Language Models) more.**



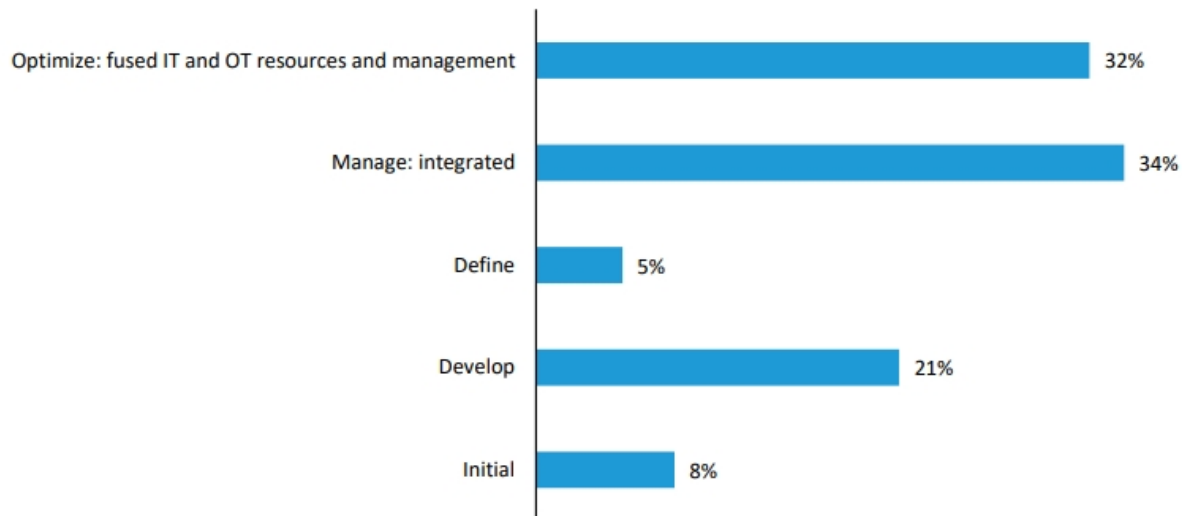
Source: Gartner Group, Bernstein analysis

**EXHIBIT 16: Immersive technologies (Virtual Reality, Augmented Reality, Mixed Reality, Digital Twins, Simulation Twins, Spatial Computing...) are still to be deployed at large scale. 42% of respondents to Gartner's annual survey are either unsure (21%) or not interested (21%).**



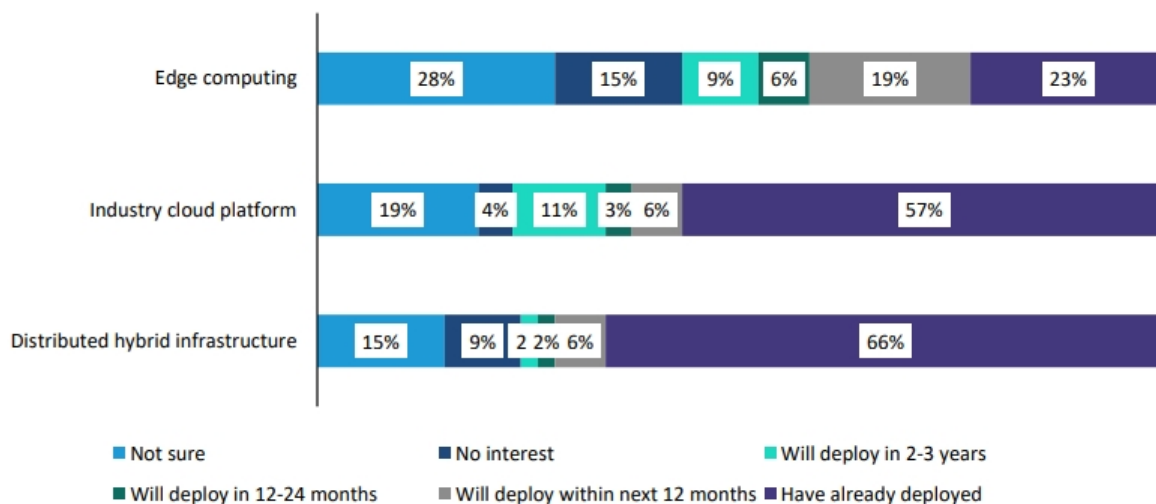
Source: Gartner, Bernstein analysis

EXHIBIT 17: **Dating. Could IT (= technology backbone of an enterprise) and OT (= hardware + software + processes behind physical operations) work more closely in the O&G world? This has historically never been the case...but things are now improving.....**



Source: Gartner, Bernstein analysis

EXHIBIT 18: **66% of O&G companies deployed have deployed hybrid cloud infrastructure. 57% of them have introduced industry specific cloud platforms. Edge computing remains limited at 28%.**



Source: Gartner, Bernstein analysis



Let's take a look a few examples now of how some O&G companies are leveraging their cloud platforms.

- **Shell** uses Microsoft Azure to examine data across its operations with real-time tracking that allows for quicker decisions in upstream and downstream operations.
- **ExxonMobil** uses cloud infrastructure to process seismic data more quickly, enabling faster and more accurate exploration and drilling. This approach helps reduce costs and accelerate time to market.
- **BP** monitors physical departments via cloud platforms to improve maintenance plans and reduce downtime. This allows the group to maximize the performance of its assets and maintain strict control on operational costs.
- **Chevron** streamlines and optimizes its supply chains and inventory management. This enhances the movement of materials, reduces delays and efficiently scales operations based on real-time demand.
- **TotalEnergies** applies cloud-based analytics to maximise energy generation and monitors impacts on the environment. This allows the group to align its operations with sustainability and regulatory compliance.
- **Equinor** uses cloud platforms and AI to strengthen the surveillance of its offshore platforms. This lowers the risks of equipment failure.
- **Petrobras** uses cloud-based digital twins to replicate and track offshore platforms in real time, which helps lower spending on maintenance, enhance safety and optimize field performance.

Shell, BP, TotalEnergies, and Equinor are no longer covered by Bernstein; and ExxonMobil and Chevron are covered by B. Brackett.

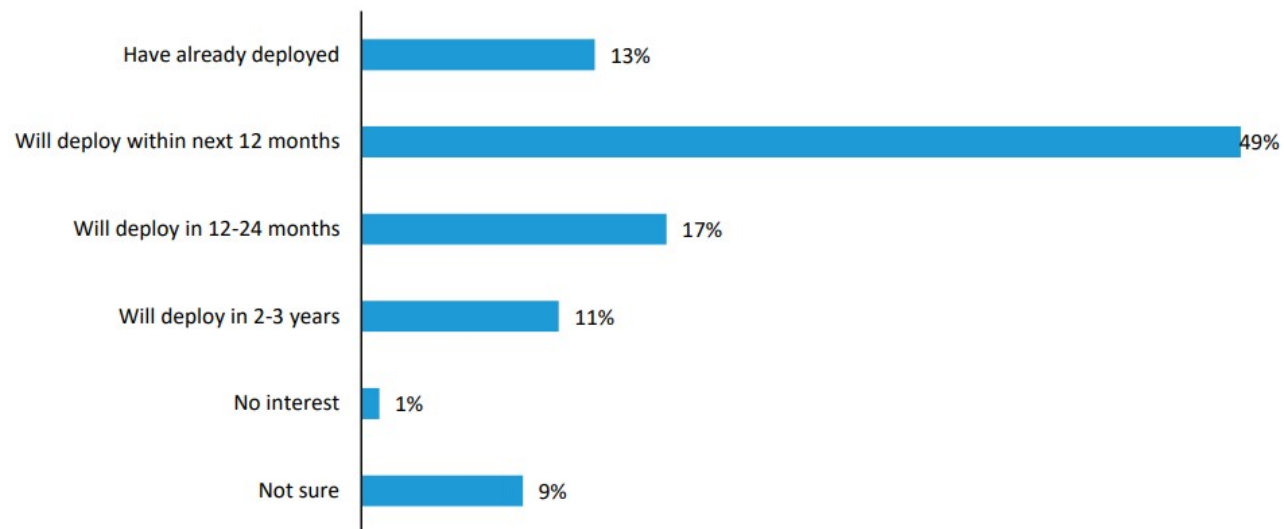
## WHAT DOES O&G VIEW GENERATIVE AND AGENTIC AI?

We understand from our discussions that:

- **O&G companies generally avoid implementing Generative AI (GenAI) in operational workflows until they can clearly control the related risks** (e.g. security, governance, compliance, etc.). They need to have greater confidence in accuracy and intellectual property (IP) protection before any deployment, especially with mission-critical solutions.
- **In more generic software applications (e.g. ERP, CRM, HR, etc.), these companies struggle to generate meaningful value from GenAI.** Most projects do not scale well yet, because most data is not yet AI-ready (i.e. quality, consistency, security, and governance). These projects also compete with other projects for budget and resources.
- **O&G companies are increasingly interested in Agentic AI's potential.** However, they currently have only limited Agentic AI development resources. Most of their data and AI functions are geared toward delivering machine-learning-based solutions, and increasingly GenAI solutions. However, these companies believe that AI agents, combined with machine learning (ML) and automation, will help increase the intelligence of oil and gas assets.
- **AI agents are goal-driven software entities that are granted autonomous decision-making and action-taking rights. In contrast to GenAI, AI agents can decide and take action independently.** The effectiveness and value of AI agents should increase exponentially if many agents work together to tackle highly complex tasks that require greater coordination and cooperation.
- **O&G CIOs are facing a significant governance challenge due to the proliferation of AI and the continued integration between IT and OT.** They need to have a centralized organization that adapts technology stacks, data strategies, and governance structures to manage all types of AI from multiple sources that spread across more enterprise systems.

Gartner's 2026 CIO and Technology Executive Survey shows that 13% of O&G companies have deployed AI agents (Exhibit 10). However, they are not yet fully decision-making agents, but rely more on GenAI and LLMs (Large Language Models). We note that 49% of respondents plan to deploy AI agents in 2026 in operations and back-office workflow optimisation.

EXHIBIT 19: **State of deployment of AI agents**



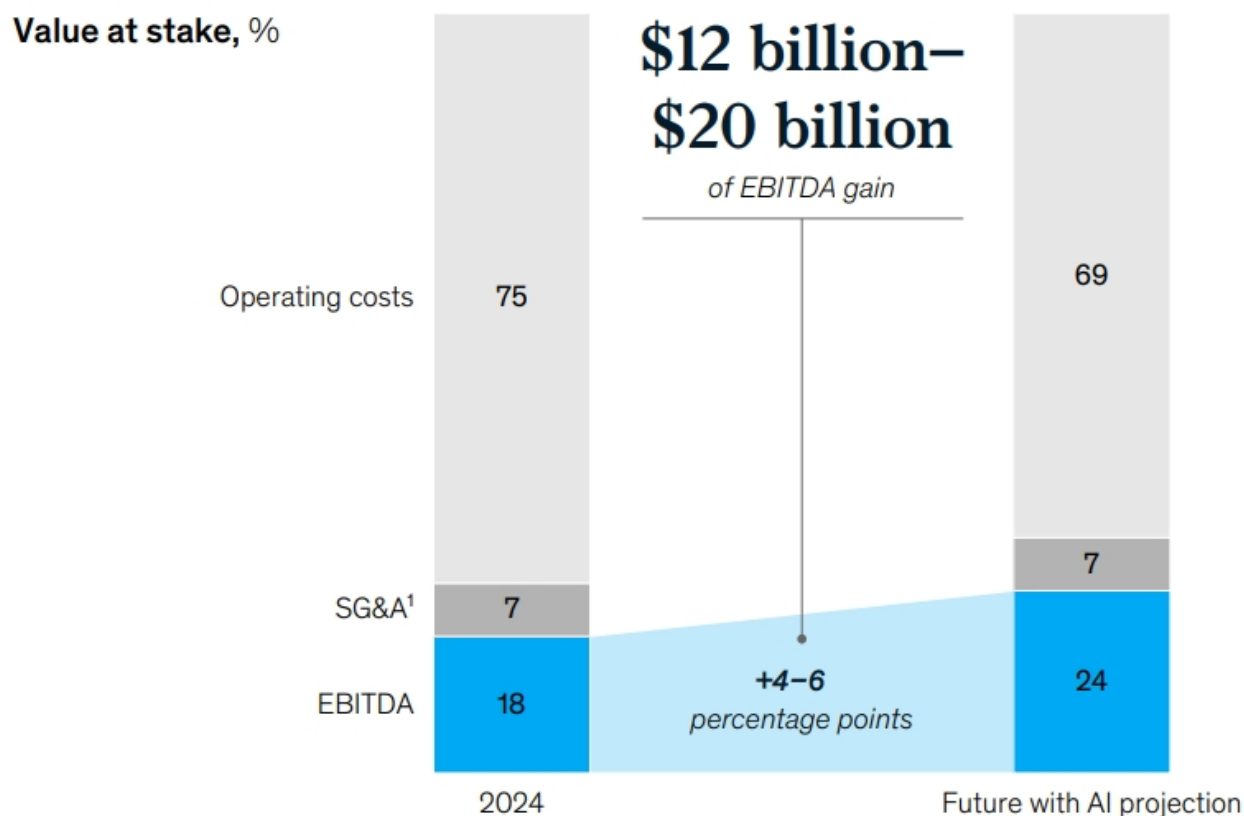
Source: Gartner Group, Bernstein analysis

## AI IN THE OIL SERVICES INDUSTRY

This was the title of an [April 2026 McKinsey article](#) in which the consulting firm suggests that scaling AI could potentially translate into an EBITDA gain of \$12-20bn. The industry is nonetheless facing numerous challenges (data fragmentation, legacy systems integration) that are translating into “pilot paralysis”. More than 50% of respondents to the McKinsey survey cited data fragmentation and integrating legacy systems as the main barriers to scaling. Successful pilots often failed to scale across geographies or functions because of process and system complexity.

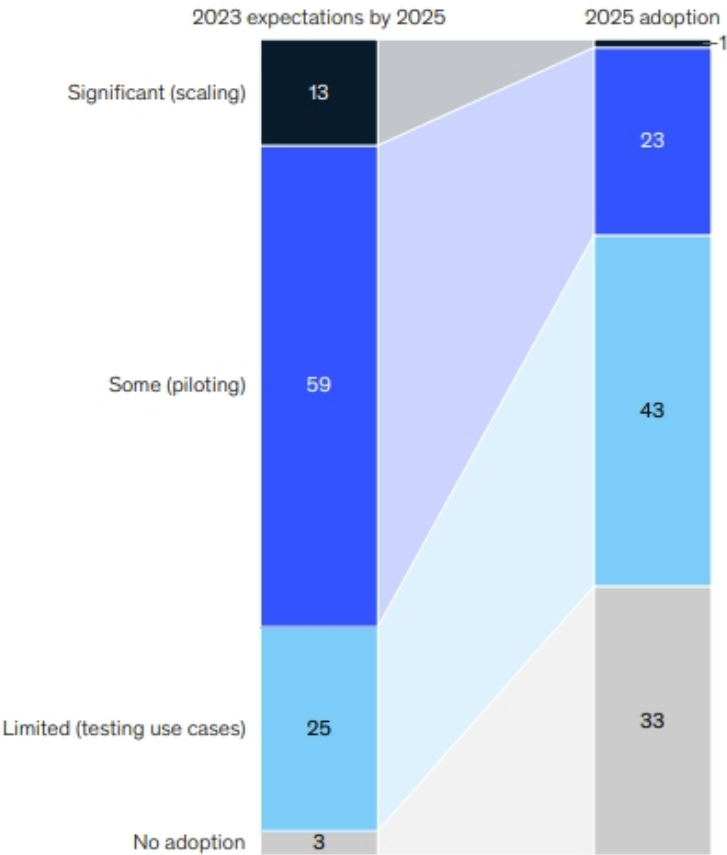
In many Oil Services companies, gen AI remains positioned as a digital or IT initiative (and not as a core business enabler). Less than 30% percent of leaders admitted having a clear strategy or value-backed road map. This lack of direction has led to scattered, bottom-up pilots that do not reach scale. In addition, resistance to change within the workforce has reportedly held companies back.

**EXHIBIT 20: According to McKinsey, the Oil Services industry could increase its overall EBITDA by c.\$12-20bn “by scaling AI diligently”. This is consistent with our previous findings.**



Source: McKinsey, Bernstein analysis

EXHIBIT 21: **2025 adoption fell massively short of expectations**  
**Gen AI adoption, expectations vs reality,<sup>1</sup> % of respondents**



Source: McKinsey, Bernstein analysis

## ASSESSING THE IMPACT OF AI ON SOME OF OUR COMPANIES

In our view, the only way to (convincingly) assess the impact on AI on the entire Oil Services industry is to use a sample. Our sample is made of five companies - SLB, Viridien, GTT, Technip Energies and Tenaris - with combined normalized revenue of \$64bn. This represents c.11% of the entire O&G capex budget (c.\$570bn in 2025) and c.6% of the entire O&G capex + opex market (c.\$1,100bn). We believe this sample is a valid way of offering a view of the entire industry as each company is VERY REPRESENTATIVE of its own sub-segment.

We conclude from our various discussions and research that AI could have: 1) for OFS, both a revenue impact and a cost reduction impact, and 2) for E&Cs, essentially a cost-reduction impact. We estimate that the positive impact of AI on OFS revenue could be an incremental 1% of normalized revenue for SLB, Viridien and GTT but assume no AI-related incremental revenue for Technip Energies and Tenaris.

**EXHIBIT 22: Normalized revenue. We estimate that OFS companies as SLB, Viridien and GTT should get a 1% 'AI-boost' to their normalised revenue.**

| (\$m)            | Revenues      | (+) AI Impact | Revenues 2.0  | Change      |
|------------------|---------------|---------------|---------------|-------------|
| SLB              | 40,800        | 408           | 41,208        | 1.0%        |
| Viridien         | 1,300         | 13            | 1,313         | 1.0%        |
| GTT              | 936           | 9             | 945           | 1.0%        |
| Technip Energies | 10,062        | 0             | 10,062        | 0.0%        |
| Tenaris          | 12,000        | 0             | 12,000        | 0.0%        |
| <b>Industry</b>  | <b>64,162</b> | <b>421</b>    | <b>64,583</b> | <b>0.7%</b> |

Source: Bernstein analysis & estimates

We estimate that both OFS (SLB, Viridien) and E&Cs (Technip Energies, Tenaris) could see a 1.5% reduction in their normalized operating costs. Given its specific cost structure, GTT could gain a little bit less (1%).

**EXHIBIT 23: Normalized operating expenses. We estimate that both OFS (SLB, Viridien) and E&Cs (Technip Energies, Tenaris) could see a 1.5% normalized reduction in their operating costs. Given its cost structure, GTT could gain a little bit less (1%).**

| (\$m)            | Expenses      | (+) AI Impact | Expenses 2.0  | Change       |
|------------------|---------------|---------------|---------------|--------------|
| SLB              | 30,805        | -462          | 30,343        | -1.5%        |
| Viridien         | 790           | -12           | 778           | -1.5%        |
| GTT              | 404           | -4            | 400           | -1.0%        |
| Technip Energies | 9,056         | -136          | 8,920         | -1.5%        |
| Tenaris          | 9,000         | -135          | 8,865         | -1.5%        |
| <b>Industry</b>  | <b>49,651</b> | <b>-745</b>   | <b>48,906</b> | <b>-1.5%</b> |

Source: Bernstein analysis & estimates

Note, however, that Technip Energies, while gaining no incremental AI-related revenue, could still end up being one of the winners! The company's 2024 Digital Acceleration Plan (DAP) was designed to 1) strengthen its operational efficiency (quantity management, enhanced engineering quality/productivity/procurement/timelines/HSSE), while 2) developing digital solutions to meet clients' future needs (Digital for Markets, Consulting & Systems, T&I).

The company is targeting "€100m of annualized savings by 2028" while "driving incremental revenue by 2028+". At the end of 2025, the company had launched "more than 55 digital and AI initiatives" while "more than 20 Minimum Viable Products (MVPs) have been launched.

This paradox is explained by its initial lower EBITDA margin of 10%. Applying this 1.5% reduction in normalized operating costs would translate into a +13.5% boost to Technip Energies's new normalized EBITDA! This is what we would call the 'E&C paradox'.

**EXHIBIT 24: Normalized EBITDA - the E&C paradox. Given their lower margin, and while not generating additional revenue from AI, E&C's normalised EBITDA could get a significant boost: +13.5% for Technip Energies!**

| (\$m)            | EBITDA        | (+) AI Impact | EBITDA 2.0    | Change      |
|------------------|---------------|---------------|---------------|-------------|
| SLB              | 9,995         | 870           | 10,865        | 8.7%        |
| Viridien         | 510           | 25            | 535           | 4.9%        |
| GTT              | 532           | 13            | 546           | 2.5%        |
| Technip Energies | 1,006         | 136           | 1,142         | 13.5%       |
| Tenaris          | 3,000         | 135           | 3,135         | 4.5%        |
| <b>Industry</b>  | <b>14,511</b> | <b>1,166</b>  | <b>15,677</b> | <b>8.0%</b> |

Source: Bernstein analysis & estimates

All in all, we estimate that AI could have an incrementally positive impact on EBITDA margin of 1.9% for SLB (to 26.4%), 1.5% on Viridien (to 40.7%), 1.4% on Technip Energies (to 11.4%), 1.1% on Tenaris (to 26.1%) and 0.9% on GTT (to 57.7%). For our entire sample, the positive impact could be 1.7% - which we view as somewhat representative of what might be the gain for the entire industry.

**EXHIBIT 25: AI positive impact on EBITDA margin. SLB, Viridien are expected to gain the most from IA. We view the 1.7% gain of our sample as somewhat representative of what could be expected for the entire industry.**

|                  | EBITDA margin | (+) AI Impact | EBITDA margin 2.0 |
|------------------|---------------|---------------|-------------------|
| SLB              | 24.5%         | 1.9%          | 26.4%             |
| Viridien         | 39.2%         | 1.5%          | 40.7%             |
| GTT              | 56.9%         | 0.9%          | 57.7%             |
| Technip Energies | 10.0%         | 1.4%          | 11.4%             |
| Tenaris          | 25.0%         | 1.1%          | 26.1%             |
| <b>Industry</b>  | <b>22.6%</b>  | <b>1.7%</b>   | <b>24.3%</b>      |

Source: Bernstein analysis & estimates

If we now discount to perpetuity the incremental FCF that could be generated by this AI boost, SLB, Viridien and Technip Energies would be among the winners.

**EXHIBIT 26: Three companies stand to gain most from discounting this extra 'AI boost' to perpetuity: SLB, Viridien, and Technip Energies.**

|                  | Market cap (\$m) | Equity Value (\$m) | (+) AI Impact | Equity value 2.0 | Change    | Per share | Per share 2.0 | Change |
|------------------|------------------|--------------------|---------------|------------------|-----------|-----------|---------------|--------|
| SLB              | 75,582           | 82,122             | 12,253        | 94,375           | 15%       | 71.0      | 81.7          | 15%    |
| Viridien         | 1,086            | 1,366              | 185           | 1,551            | 14%       | 162.8     | 185.6         | 14%    |
| GTT              | 8,787            | 8,412              | 164           | 8,576            | 2%        | 245.0     | 249.9         | 2%     |
| Technip Energies | 8,046            | 9,647              | 1,381         | 11,028           | 14%       | 47.0      | 53.6          | 14%    |
| Tenaris          | 29,967           | 33,915             | 1,823         | 35,738           | 5%        | 29.0      | 30.6          | 5%     |
| <b>Industry</b>  | <b>47,885</b>    | <b>53,340</b>      | <b>3,553</b>  | <b>56,893</b>    | <b>7%</b> |           |               |        |

Source: Bernstein analysis & estimates

## SLB - THE DIGITAL CITY

### SCHLUMBERGER'S 1979 VIEW ON ARTIFICIAL INTELLIGENCE

Schlumberger's iconic CEO Jean Riboud (1965-85) was the first in the O&G industry to imagine in [1979](#) what this new age of artificial intelligence might imply.

*"Success is the child of luck and hard work. We had both. Two factors had a major impact on our development. The price of crude oil increased tenfold, from \$2.80 to roughly \$28 while the price of a semi-conductor memory tumbled 25 times, from 1 cent to 0.04 cents." "The oil price increase changed dramatically the energy situation [...]"*

*Maybe more important are the ultimate consequences of this new age of artificial intelligence, as the scientists call it. Coal and oil brought about the industrial revolution because they provided abundant and cheap physical power. Microprocessors and memory will bring about a new revolution because they will provide abundant and cheap intellectual power".* Source: Schlumberger's annual report, 1979.

### OUR CONCEPT OF A 'DIGITAL CITY'

While Jean Riboud believed that all Sciences Po graduates did share something special, he also knew that most of them would never ever become 'geeks'. This was exactly our own personal situation before starting to write this report. Aside from partnering with experts - as we do in this report with our colleague Richard Nguyen - we needed to build our own - possibly naive or simplistic - framework (or at least a helpful metaphor). Our vision of Digital is that it could be represented as a city, a new city that we needed to visit and discover. This city is not built out of concrete and steel, but out of data. A place where every street connects workflows, every building hosts applications, and every network cable carries information. This is SLB's digital city. The idea of this city was born from necessity. For decades, the O&G industry operated as isolated towns and villages - exploration, drilling, and production. Each village managed its own data in closed systems. Organizational silos and poor connectivity made working together slow and inefficient. Data were everywhere, but insights were trapped as the industry needed to overcome three series of challenges: 1) data complexity, 2) organizational / stakeholder constraints and 3) infrastructure and geographical limitations.

#### EXHIBIT 27: Digital & O&G: three series of challenges - data complexity, organizational / stakeholder constraints, and infrastructure & geography.

|  Data complexity                                                                                                                                                                                                                                                                                                                                              |  Organizational & Stakeholder Constraints                                                                                                                                                                                                                   |  Infrastructure & Geography                                                                                                  |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"> <li>▪ Wide range from technical (drilling, seismic, sensors) to complex models (reservoir models), to 3D engineering designs to logistics (people and equipment).</li> <li>▪ Proprietary formats need conversion and data tend to be specific to the software that generate it.</li> <li>▪ Petabyte-e scale datasets.</li> <li>▪ Technical data is often limited, incomplete, and/or inconsistent.</li> </ul> | <ul style="list-style-type: none"> <li>▪ Different stakeholders have specific contractual commitments regarding what they can share and how.</li> <li>▪ Non-uniform data definitions between internal and external organizations.</li> <li>▪ Decentralized data structures and IT priorities.</li> <li>▪ Complex ownership of data.</li> </ul> | <ul style="list-style-type: none"> <li>▪ Remote sites with low bandwidth</li> <li>▪ Limited cloud adoption</li> <li>▪ Need for replication and synchronization</li> <li>▪ Regional data storage limits</li> </ul> |

Source: BCG, Bernstein analysis

## THE SIX LAYERS OF SLB'S DIGITAL CITY

Starting from the bottom (the operational layer) and working our way up to the sixth level (the cognitive level), SLB's digital city can be thought of as a sandwich with six layers, each with a distinct purpose and offering. Below we compare it to day-to-day life in a city.

**First Layer - The operational layer (= every morning I wake up and perform my daily tasks).** Every morning, I get up, decide what I need to do, and start completing my tasks. Each action creates a little bit of information about how I live. Over time, I hopefully learn new things, adjust my routines, and get better at what I do - just as every operation in the field generates new data and improves the models that guide decisions in the future.

**Second Layer - The infrastructure layer (= the foundations of the city).** In order to live my day in the city, I need solid ground to stand on, the infrastructure that holds the city together. In the digital city, this invisible foundation is the cloud. It is the digital ground on which everything rests – the storage, computing power, and resilience that allow the city to exist. And when work happens far outside the city, edge computing extends this foundation outwards, so even remote places can stand on the same solid ground. The infrastructure is provided via partnerships, for instance with AWS or Azure, which ensure data scalability and global access.

**Third Layer - The platform layer (= the transport connections).** Every day, I use roads, metro lines, and sidewalks that work seamlessly, sometimes without noticing. But without these connections, the city would collapse into isolated blocks. In SLB's digital city, these standardized, interoperable pathways are what allow data to move across the E&P value chain - from planning to operations. This is underpinned by SLB's Operations Data Foundations (in partnership with Cognite, OSDU and Lumi).

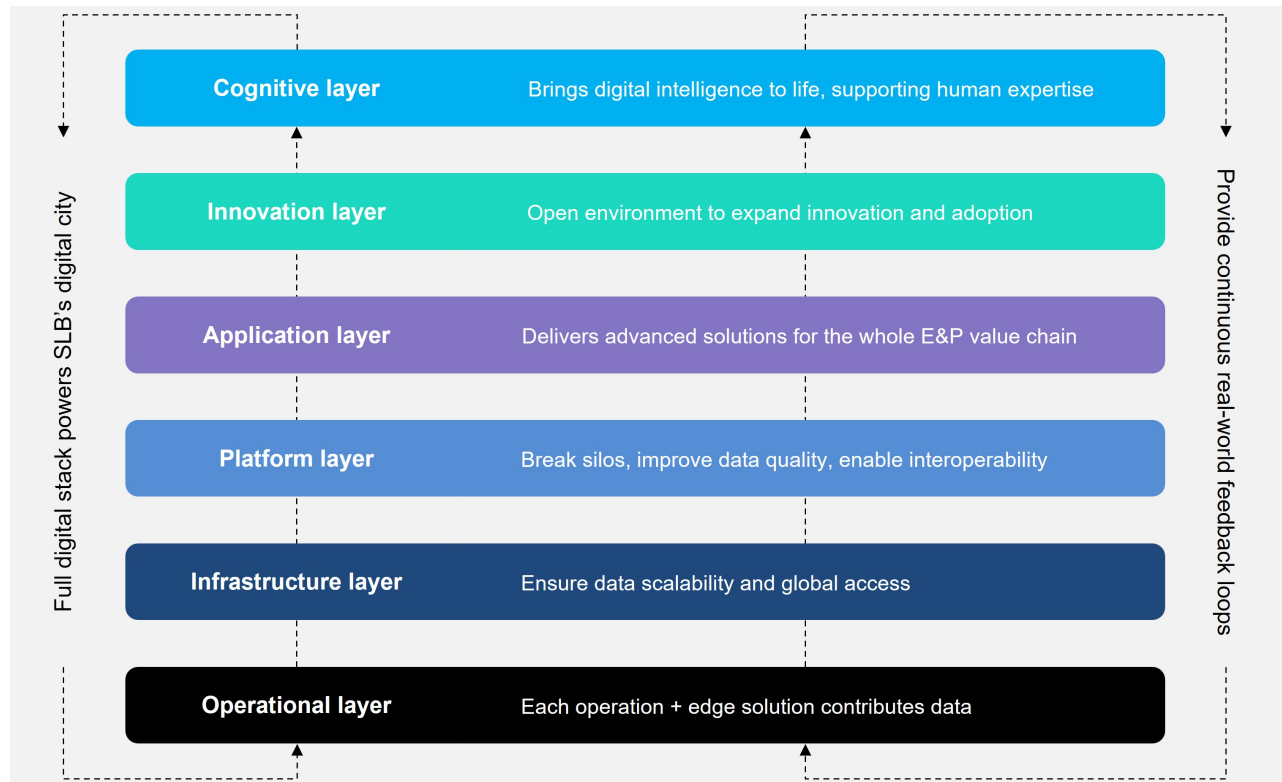
**Fourth Layer - The application layer (= the shops, doctors, lawyers and plumbers of the city).** When I need groceries, medical help, legal advice, or a plumber, I look for the essential services that make city life possible. In the digital city, this is DELFI. It provides cloud-based tools for the different needs of an O&G operator - modelling, planning and field operations – very much the digital equivalent of the city's professionals.

**Fifth Layer - The innovation layer (= the Forum in Ancient Rome).** The Forum was where people met, exchanged ideas, traded, debated, and created new solutions. Every day, new possibilities took shape there. In SLB's digital city, this role is played by DELFI's open environment and Innovation Factory. External developers, clients, and partners can build, test, and deploy new solutions through APIs and collaborative frameworks, encouraging innovation inside the city's walls. In working together to get the most from these possibilities, this transforms SLB's digital city from a place that offers not just the necessities of life, but a city of people who want to thrive together.

**Sixth Layer - The cognitive layer (= Tony Stark's J.A.R.V.I.S).** The cognitive layer could be thought as the equivalent of having Tony Stark's J.A.R.V.I.S. at your fingertips: a reliable, trusted companion that understands context, anticipates needs, and expands your capabilities. A strong ally with a team of experts always on duty: analysts who never tire, advisors who draw inspiration from the collective knowledge, and assistants who can instantly provide the best options and solutions for any situation. Whether a resident is planning a new route to work, a shop is forecasting demand, or the city's caretakers are examining where resources are needed most, the cognitive layer provides guidance rooted in experience and historical data. With this cognitive layer, SLB's digital city has become truly intelligent.



**EXHIBIT 28: Our representation of SLB's digital capabilities resembles a six-layer digital city: Operational + Infrastructure + Platform + Application + Innovation + the Cognitive layer (provided by Tela, SLB's new agentic AI platform)**



Source: Bernstein analysis

### SLB'S COGNITIVE LAYER = TELA AGENTIC AI

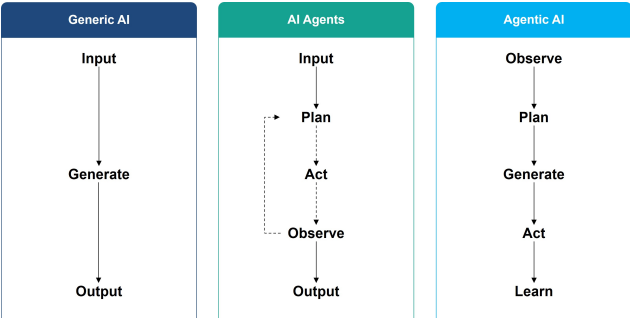
At first glance, Tela may look similar to any other AI system. It can generate text, interpret data, and support decisions. However, its core design is fundamentally different. Operating within SLB's cognitive layer, Tela can seamlessly access and interact with applications across the SLB digital ecosystem—connecting insights to actions and enabling every part of the city to operate at its highest potential.

Like a human personality, AI is governed by an internal architecture that ultimately determines how it behaves. As this structure has evolved, the governing principles underpinning AI have moved from a linear one-step loop to a continuous feedback loop. Tela, as an agentic AI, is the latest development.

- **Generative AI:** the simplest form. You provide an input, and it generates an output. It is powerful but linear - a one-step loop that begins and ends with the prompt.
- **AI Agents:** a step further. They are designed for specific tasks. They can plan and act, based on predefined rules and workflows, and observe the results before completing the tasks.
- **Agentic AI:** begins by observing the environment (the data/resources available), rather than waiting for a prompt. It plans its next move, generates the required analysis, executes it, and learns from the outcome. It may also use multiple sub-agents to complete different parts of the workflow. The loop never stops, and each iteration improves the next.

In this way, Tela orchestrates data across Lumi and Delfi to automate workflows and recommend decisions. It represents the transition from a digital city to an intelligent city, where each dataset improves the next, and where the system learns, predicts, and optimizes in real time.

EXHIBIT 29: The differences between generic AI, AI agents, and agentic AI lie in their internal architecture



Source: Bernstein analysis

EXHIBIT 30: In essence, Tela is akin to a digital orchestrator, specifically trained for the O&G industry

|                | Generic AI                   | AI Agents                                        | Agentic AI                                  |
|----------------|------------------------------|--------------------------------------------------|---------------------------------------------|
| Purpose        | Create content               | Performs specific predefined tasks automatically | Plans, reasons, and act towards a goal      |
| Initiative     | Needs a prompt               | Works independently                              | Has goals, takes initiative                 |
| Dependency     | Works on trained data        | Depends on predefined rules and APIs             | Uses reasoning, planning and feedback loops |
| Learning       | Fixed after training         | Limited context learning                         | Self-improving                              |
| Autonomy level | Low                          | Medium                                           | High                                        |
| Human Role     | Prompt giver                 | Delegates & supervise                            | Define objectives                           |
| Analogy        | Colleague waiting for orders | Colleague taking initiative                      | Colleague managing projects                 |

Source: Bernstein analysis

DIGITAL SEGMENT

In 3Q25, SLB started reporting on its Digital business separately. With c.\$2.7bn revenue and a c.35% EBITDA margin, this new Digital segment represented c.7%/11% of the company’s FY25 revenue/EBITDA of \$35.7/\$8.5bn.

EXHIBIT 31: This c.\$2.7bn segment can be split into four different sub-segments: Platforms & Applications, Digital Operations, Digital Exploration and Professional Services.

|                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|-----------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>Platform Applications</b><br/>(\$1,064m / c.40% of revenue)</p> | <p>This sub-segment includes the company’s cloud technologies such as the Delfi (= Digital) and Lumi (= Data &amp; AI) platforms, along with the Petrel (= leading worldwide subsurface software) and Techlog (= leading worldwide wellbore software) suites that are offered as a SaaS subscription and even as perpetual licenses.</p> <p>The platforms and applications automate complex models, unlock data and use AI and machine learning to reduce cycle time and improve workflows. Except for one-off license sales, the Platform Applications revenue are recurring by nature as they are derived from: 1) a global software installed based built over the past four decades, and 2) the growing adoption of cloud and IoT within the industry.</p> |
| <p><b>Digital Operations</b><br/>(\$464m / c.17% of revenue)</p>      | <p>This sub-segment is about edge computing and connecting remote real assets. SLB claims to have more than 20,000 connected assets. When we mention ‘SLB’s second strategic dilemma,’ we are talking about this sub-segment and how closely its operations are inter-related with the company’s core operations.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <p><b>Digital Exploration</b><br/>(\$437m / c.16% of revenue)</p>     | <p>This is the company’s exploration data business. It covers multi-client data sales from the company’s seismic library, as well as the refreshing and reprocessing of those data sets through imaging algorithms and AI technologies.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| <p><b>Professional Services</b><br/>(\$695m / c.26% of revenue)</p>   | <p>Professional Services includes consulting and other services (support from on-prem to cloud-based digital solutions, data clean up and migration, workflow automation, etc.).</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |

Source: Company, Bernstein analysis

EXHIBIT 32: **SLB's Digital/AI products/services**

| Product / Service         | Description                                                                                                                                                                                                                                                                                                                                                               |
|---------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Tela Agentic AI           | Tela™ is SLB's agentic-AI assistant. It is designed to transform up workflows by learnings, reasoning, and acting across drilling, production, and data-intensive operations. It supports natural conversational interactions, automates complex tasks, and improves decision-making at scale.                                                                            |
| Lumi data foundation      | The Lumi™ data foundation is SLB's subsurface-focused data environment designed to make exploration and planning data discoverable, usable, governed, and AI-ready. It is fully aligned with the Open Group's OSDU® Technical Standard, ensuring open, secure, and standardized data management across the energy industry.                                               |
| Lumi data and AI platform | The Lumi™ platform integrates subsurface and operational data, eliminates silos, and enables enterprise-scale deployment of AI and machine learning tools. Lumi provides standardized, AI-ready data to accelerate planning, and operational optimization across the energy value chain.                                                                                  |
| Innovation factori        | SLB uses its global Innovation Factori team to accelerate digital transformation in the energy sector, including the development and scaling of agentic-AI workflows.                                                                                                                                                                                                     |
| Edge AI and IOT           | SLB provides Agora Edge AI and IoT solutions. It is a secure, modular ecosystem that brings computing power directly to the field. This enables clients to overcome remote-site challenges like intermittent connectivity and limited IT support.                                                                                                                         |
| Physics-informed AI       | Physics-informed AI combines physics models with machine learning to deliver fast, accurate, scientifically consistent optimization of complex energy systems. SLB is involved through an exclusive partnership with Geminus AI to models that accelerate production optimization, reduce emissions, and enhance operational efficiency across the energy value chain.    |
| E&P data bridge           | SLB's E&P Data Bridge connects subsurface, production, and midstream data sources in real time through live, secure integrations that eliminate silos and ETL processes. It ensures all data remains synchronized, accessible, and AI-ready, dramatically improving decision-making, reducing risk, and accelerating digital workflows across the entire E&P value chain. |

Source: Company, Bernstein analysis

**Expanding the frontiers of SLB's digital city**

On 25 March, SLB announced an expanded collaboration with NVIDIA to accelerate large-scale AI deployment across the energy industry.

Three key points:

- **AI Factory for Energy:** An environment powered by domain-specific generative AI and industrial agentic AI. This will leverage on SLB's digital platform to help energy companies scale AI for data and operations.
- **Improved computing power of SLB's digital platform:** using the latest NVIDIA AI infrastructure, the companies will optimize the processing of large datasets and AI models on SLB's digital platform.
- **SLB, a design partner for the AI data center:** the partnership focuses on designing modular, factory-built data-center infrastructure, with SLB serving as the modular design partner for NVIDIA's DSX AI factories - to improve quality, reliability, and scalability while reducing cost and deployment time.

**We conservatively expect SLB's Digital segment to record a 10% CAGR over 2026-30e**

This growth is expected to be driven by: 1) the likely catch-up of the O&G industry in the area of digital solutions (and particularly edge computing and AI); 2) SLB's leadership on these solutions, and 3) SLB's high market share in the Middle East.

EXHIBIT 33: **We expect SLB's digital revenue to reach c.\$4.3bn in 2030 (CAGR c.10%), with an EBITDA margin of c.35%.**

| Digital (\$m)                          | 2026e        | 2027e        | 2028e        | 2029e        | 2030e        |
|----------------------------------------|--------------|--------------|--------------|--------------|--------------|
| <b>Revenue</b>                         | <b>2,815</b> | <b>3,210</b> | <b>3,560</b> | <b>3,950</b> | <b>4,350</b> |
| % growth                               | 6%           | 14%          | 11%          | 11%          | 10%          |
| <b>Digital EBITDA</b>                  | <b>986</b>   | <b>1,130</b> | <b>1,260</b> | <b>1,402</b> | <b>1,558</b> |
| <b>EBITDA margin %</b>                 | <b>35.0%</b> | <b>35.2%</b> | <b>35.4%</b> | <b>35.5%</b> | <b>35.8%</b> |
| Digital D&A                            | 213          | 240          | 250          | 255          | 260          |
| <b>Digital Pretax operating income</b> | <b>773</b>   | <b>890</b>   | <b>1,010</b> | <b>1,147</b> | <b>1,298</b> |
| <b>Operating margin %</b>              | <b>27.5%</b> | <b>27.7%</b> | <b>28.4%</b> | <b>29.0%</b> | <b>29.8%</b> |

Source: Bernstein analysis & estimates

## VIRIDIEN - A CLEANER PICTURE

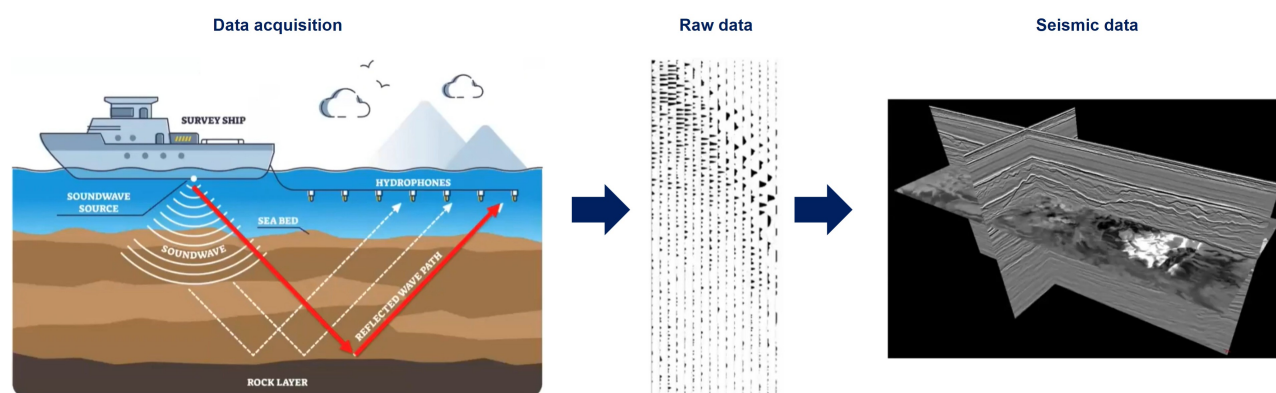
Viridien is embracing AI not as a replacement for physics-based workflows but as a force multiplier that enhances accuracy, speed, and operational efficiency across the geoscience value chain. This strategic adoption positions AI as an accelerator of insight generation and a key enabler of higher-value work.

“AI will not replace physics-based workflow, it will help enhance it. So, we are embracing AI. It will complement what we do, help us be even more efficient, provide better results.” - CEO Sophie Zurquiyah

## THE SCIENCE BEHIND GEOSCIENCE

Viridien's geoscience process begins with large-scale data acquisition, typically performed offshore using survey vessels that emit acoustic energy into the subsurface and record the returning reflections from different rock layers.

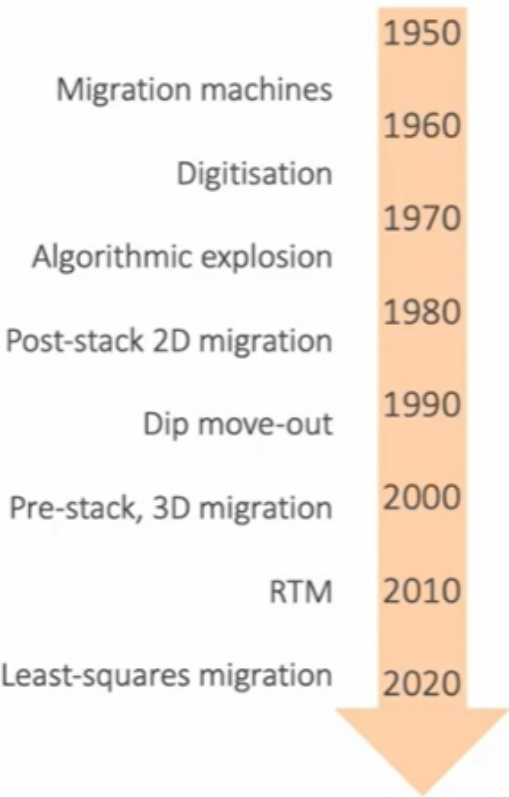
**EXHIBIT 34: Seismic in three phases: 1) first, data collection (through a vessel); 2) second, data processing and; 3) third, final image.**



Source: Dug, Bernstein analysis

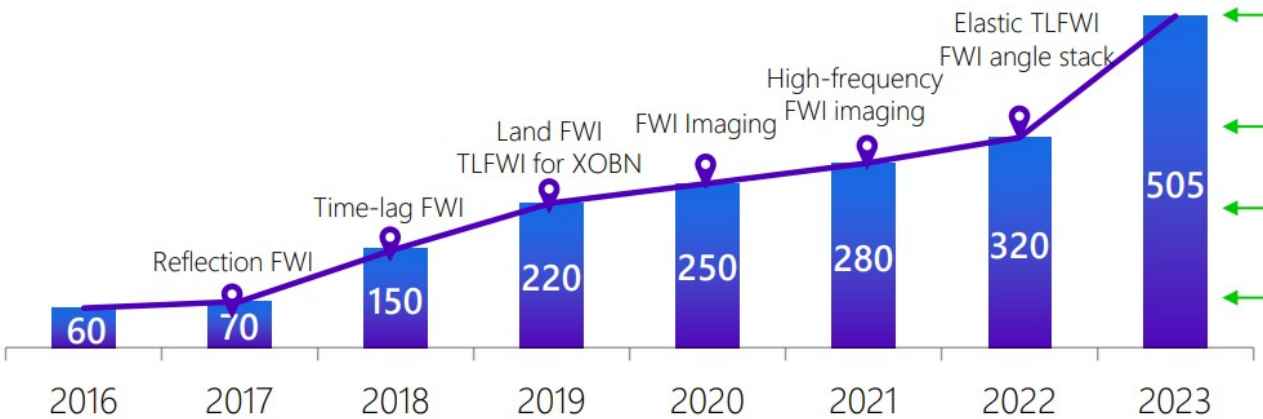
These measurements generate large volumes of raw unprocessed seismic signals containing geological information, but also significant amounts of noise and distortion. From here, the raw data enters a physics-based seismic processing workflow that includes noise removal, deghosting, multiple suppression, velocity model building, migration, and stacking. Each step is essential for transforming this raw data into coherent seismic data. To achieve this, the choice of the appropriate geophysical model and computational power play a key role because processing choices directly influence the clarity and reliability of the final subsurface image.

EXHIBIT 35: **Seismic imaging has dramatically changed in the past 70 years. The most recent methodologies include multi-parameter FWI and FWI imaging**



Source: DUG

EXHIBIT 36: **Viridien’s proprietary technology is Time-Lag TWI. Larger computing power allows new technologies to come to the market. Viridien’s computer power has now reached c.700 PFLOPS**



Source: Viridien

Once processed, the seismic data is interpreted by geoscientists, who integrate it with additional structured and unstructured information, such as geological reports, well logs, maps, thin sections, and core-sample analyses. However, many of these supporting sources exist in legacy formats, handwritten tables, or degraded scans, making them difficult to extract and classify manually. This is precisely where AI enhances workflow accuracy and efficiency.

EXHIBIT 37: AI can help rejuvenate and capitalise on those previously poorly written entries to create an updated image.

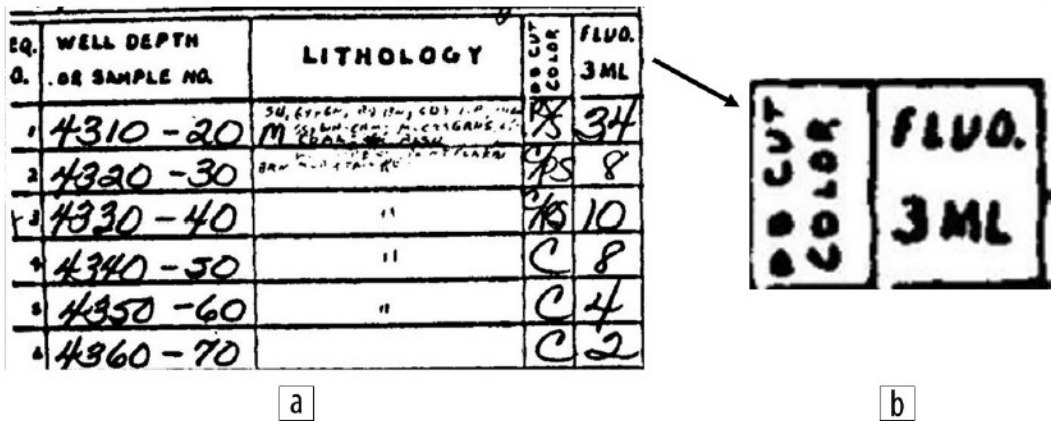


Figure 3. (a) Example of a challenging table with poor scan quality and handwritten entries. (b) Zoom in of difficult-to-read column headers.

Source: Hou, Song, Dong, Tianhao, Sancheti, Ojasvi, Liu, Hao. (2025), Bernstein analysis

Viridien applies domain-specific models to automate text extraction, table digitization, figure classification, and domain enrichment. These models identify formations, sequences, wells, and other geological entities more accurately than methodologies, even when documents are low quality or complex. Meanwhile, AI-driven classifiers generate detailed figure descriptions and correct mislabels in geoscience images, ensuring critical supporting information is more reliable and easier to integrate into interpretation.

EXHIBIT 38: A “domain-specific” AI is obviously better than ChatGPT.

| Question | What licenses have information about the Nise Formation?                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|----------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| ChatGPT  | The Nise Formation is a geological formation located offshore Norway in the Norwegian Sea. To provide accurate information about licenses related to this formation, I would need to check the most up-to-date records from the Norwegian Petroleum Directorate (NPD) or other relevant authorities. As of my last update in April 2024, there were likely several production licenses covering areas that include parts of the Nise Formation. However, without access to current data, I can't specify exact license numbers or operators. ...                                |
| GeoRAG   | Based on the provided documents, the following licenses have information about the Nise Formation: <ul style="list-style-type: none"><li>PL1071: This license was awarded in February 2020 with an initial work program of G&amp;G studies and seismic reprocessing. ... The decision to relinquish is based on the latest technical evaluations using the reprocessed seismic data, which indicate significant risk on trap integrity for Nise prospects and only prove small upside in the Springar Formation.</li><li>PL1124: This license was evaluated using ...</li></ul> |

GeoRag stands for RAG (Retrieval-Augmented Generation) applied to geoscience data  
Source: Hou, Song, Dong, Tianhao, Sancheti, Ojasvi, Liu, Hao. (2025). Bernstein analysis



## AMPLIFYING INTERNAL EFFICIENCY

We see AI as a transformational tailwind for Viridien's geoscience workflows for two fundamental reasons.

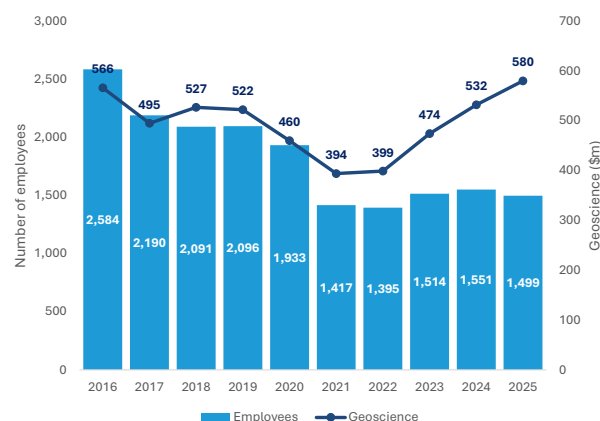
**It will enhance interpretation:** AI strengthens interpretation by producing cleaner, more structured, and more accessible geoscience data, particularly unstructured data. This means geoscientists can access:

- More accurate entity extraction from text (formations, sequences, wells)
- Corrected and fully digitized tables from poor-quality scans
- Correctly classified geological figures with contextual understanding

These improvements directly elevate the quality of interpretation, enabling more confident technical evaluations and reducing rework.

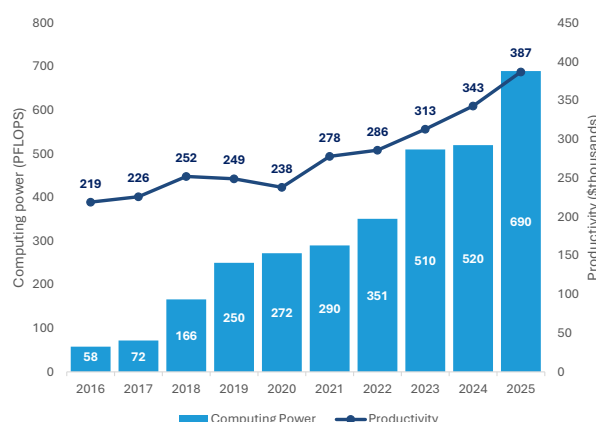
**It will shift scientists from low-value operational tasks to high-value activities:** Traditionally, geoscientists spend significant time on manual data extraction, quality control, and classification before meaningful interpretation can begin. AI transforms this workflow by automating these low-value, time-consuming tasks, such as text recognition, table reconstruction, figure classification, and information retrieval, to deliver cleaner data pipelines and allow more time for technical reasoning. By automating repetitive tasks, AI reduces the burden on geoscientists and domain experts, enabling them to focus on interpretation and higher-order problem-solving.

**EXHIBIT 39: Geoscience revenues have increased from c. \$394m in 2021 to c.\$580m in 2025, while the number of employees has only increased from 1,147 to 1,499...**



Source: Company, Bernstein analysis and estimates

**EXHIBIT 40: ...resulting in an increase from c.\$286k revenue per employee to c.\$387k revenue per employee (c.9% CAGR). In our view, this is a reflection of: 1) the integration of AI/ML models shifting scientists focus from low-value operational tasks to high-value activities; and 2) increased computing power**



Source: Company, Bernstein analysis and estimates



## EXPANDING VIRIDIEN'S TAM

As more industries adopt increasingly data-intensive workflows—particularly driven by artificial intelligence (AI) and machine learning (ML)—the demand for specialized computing capacity is accelerating. Viridien's expertise in large-scale data processing, algorithm optimization, and domain-specific high-performance architectures positions it to participate in this opportunity.

As this opportunity grows, we believe Viridien will face a pivotal strategic decision: should future growth be driven by deeper penetration within the energy sector (more OFS?), or by expanding HPC-enabled solutions into entirely new verticals?

### Strategic pathway 1: Expand within energy

Expanding HPC-enabled offerings within the broader energy ecosystem could be seen as a natural next step for Viridien. The energy sector—especially O&G, CCS, geothermal, and renewables—is increasingly data-intensive, relying on advanced imaging, simulation, and AI-driven decision-making. This creates rising demand for high-performance computing environments tailored to subsurface, geophysical, and engineering workflows.

### Strategic pathway 2: Expand into new verticals

Beyond the energy sector, multiple industries' HPC requirements are expected to record a c.18% CAGR in 2022-2027.

High performance computing (HPC) combines specialized hardware, such as CPUs, GPUs, storage, and high-speed networking, with software and algorithms that are designed to tackle highly complex, compute-intensive tasks. Any workflow that requires large-scale processing effectively becomes an HPC application. As companies adopt machine-learning and integrate AI into their processes, they use far larger volumes of structured and unstructured data. This increases the computational load, creating a reinforcing loop: more AI adoption unlocks more data, which in turn drives greater demand for HPC.

EXHIBIT 41: **HPC cloud forecast by vertical, 2021-2027**

| (\$M)                | 2021           | 2022           | 2023           | 2024           | 2025            | 2026            | 2027            | CAGR 22-27   |
|----------------------|----------------|----------------|----------------|----------------|-----------------|-----------------|-----------------|--------------|
| BioSciences          | \$1,439        | \$1,557        | \$1,847        | \$2,120        | \$2,361         | \$2,534         | \$2,821         | 12.6%        |
| CAE/Manufacturing    | \$957          | \$1,289        | \$1,587        | \$1,917        | \$2,263         | \$2,637         | \$3,017         | 18.5%        |
| Chemical Engineering | \$128          | \$154          | \$189          | \$226          | \$267           | \$308           | \$267           | 11.7%        |
| DCC & Distribution   | \$289          | \$347          | \$425          | \$510          | \$599           | \$693           | \$732           | 16.1%        |
| Economics/Financial  | \$315          | \$398          | \$512          | \$627          | \$752           | \$889           | \$1,041         | 21.2%        |
| EDA                  | \$372          | \$443          | \$538          | \$639          | \$744           | \$853           | \$975           | 17.1%        |
| Geosciences          | \$328          | \$403          | \$505          | \$621          | \$753           | \$898           | \$1,069         | 21.6%        |
| Mechanical Design    | \$24           | \$27           | \$33           | \$37           | \$41            | \$45            | \$45            | 10.6%        |
| Defense              | \$391          | \$471          | \$578          | \$697          | \$821           | \$953           | \$1,091         | 18.3%        |
| Government Lab       | \$364          | \$443          | \$548          | \$704          | \$881           | \$1,094         | \$1,351         | 25.0%        |
| University/Academic  | \$242          | \$276          | \$322          | \$368          | \$411           | \$467           | \$549           | 14.7%        |
| Weather              | \$140          | \$184          | \$246          | \$322          | \$412           | \$541           | \$675           | 29.7%        |
| Other                | \$111          | \$141          | \$187          | \$242          | \$307           | \$384           | \$436           | 25.3%        |
| <b>Total</b>         | <b>\$5,100</b> | <b>\$6,132</b> | <b>\$7,516</b> | <b>\$9,031</b> | <b>\$10,610</b> | <b>\$12,297</b> | <b>\$14,069</b> | <b>18.1%</b> |

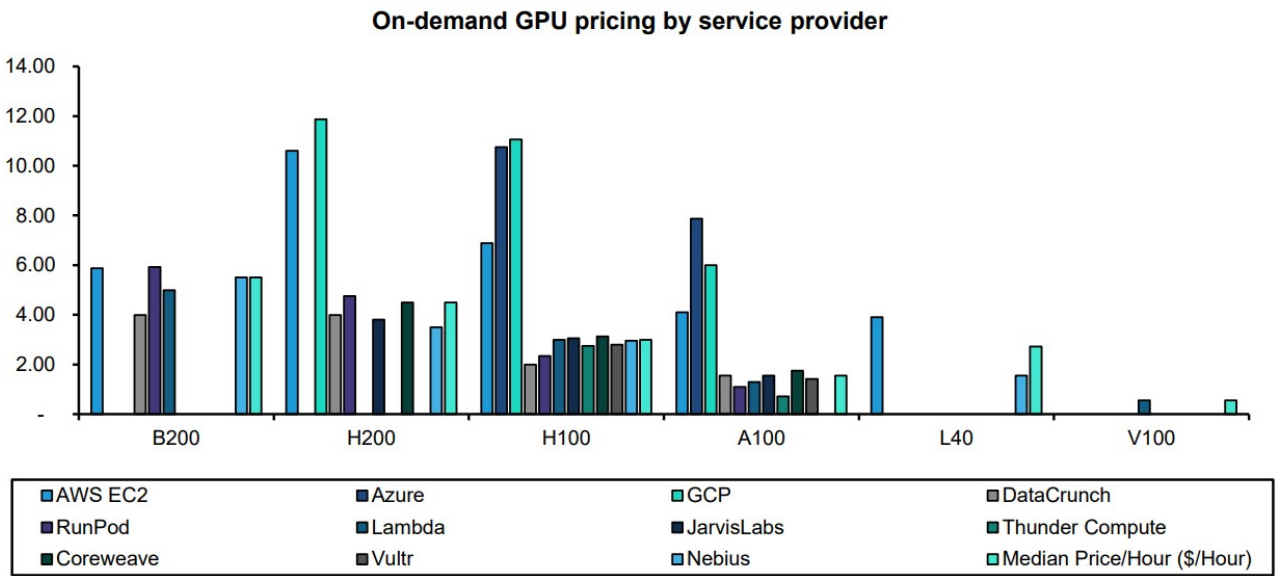
Source: Viridien

**OaaS to become more valuable**

From consumption-based to outcome-based pricing.

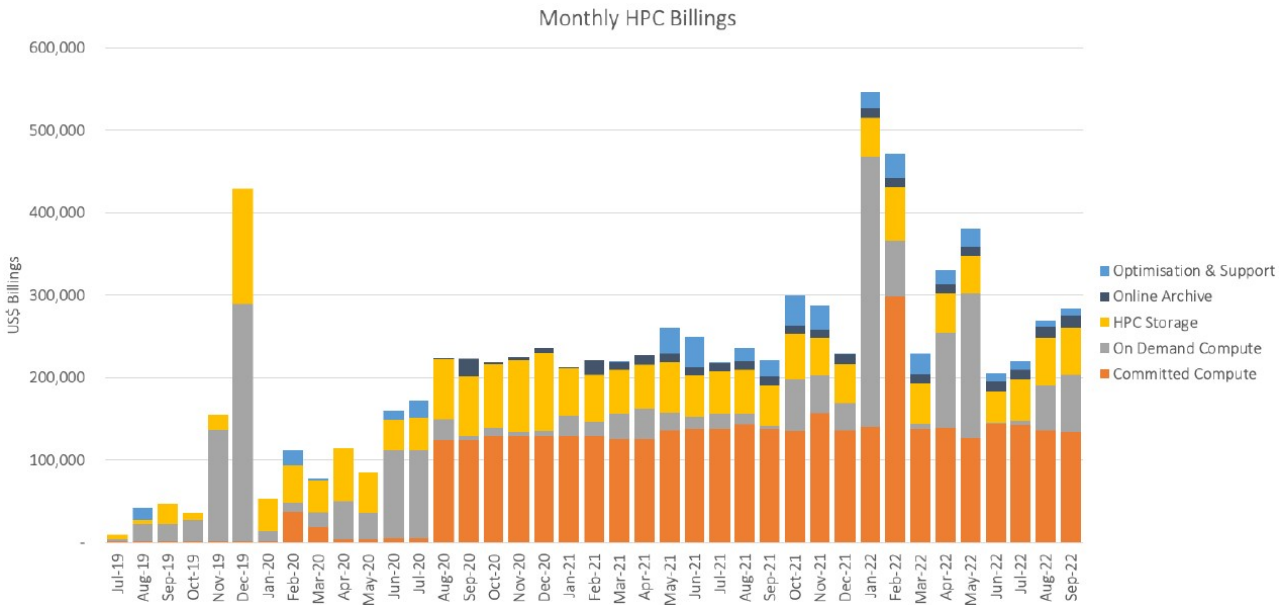
- **Consumption-based pricing:** under this pricing model, customers are charged based on the amount of computing consumed—CPU hours, GPU hours, storage, bandwidth. As a result, the responsibility for efficiency is on the customer.
- **Outcome-based pricing:** customers pay for a finished output. In this way, Viridien, the provider, takes responsibility for efficiency and performance, while the customer focuses on the business outcome, not for optimizing computing power. In other words, the customer pays for certainty and expertise, not computing consumption.

Traditional on-demand GPU per hour pricing is highly variable across providers (it is not within the expertise of the customers to optimize the computing power), making it difficult for customers to predict their potential costs. As data-intensive workflows continue to grow, we see Outcome-as-a-Service as directly addressing the cost uncertainty by linking pricing to the delivered result. In our view, this model matches Viridien's strengths in algorithmic expertise, optimized HPC environments, and deep domain knowledge with the customer's need for certainty, efficiency, and predictable costs, enabling the company to differentiate from "commodity" GPU pricing.



Source: Bernstein analysis & estimates

**EXHIBIT 43: For DUG, committed compute represents c.50% of total HPC monthly billings, providing a recurring source of revenue**



Source: DUG

## DISCLOSURE APPENDIX

**I. REQUIRED DISCLOSURES**

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

**VALUATION METHODOLOGY****Schlumberger Ltd**

Our \$71.0 PT is based on a DCF with an 8% WACC, 3.5% LT growth and \$5,640m normalized FCF to perpetuity.

**Viridien**

Our PT of €163 is based on a SOP. We value the Library at \$494m (1.0x BV), the Equipment business at \$180m (4.0x FY27e EBITDA) and the Geoscience business at \$1,800m (8.0x FY27e EBITDA). We remove Corporate costs of \$320m and net debt of \$788m.

**Tenaris**

Our €29 PT is derived from a DCF with an 8% WACC, a 2.5% LT growth rate and \$1,776m FCF to perpetuity. We apply a EUR/USD 1.17 exchange rate to arrive at our ADR price target (one ADR = two common shares).

**Technip Energies**

Our €47.0 PT is based on a DCF methodology with a 9% WACC, a 2.5% LT growth rate to perpetuity and a €490m normalized FCF.

**Gaztransport & Technigaz**

Our €245 PT is DCF-based with an 8.0% WACC, a €367m normalised FCF growing at 5% to perpetuity.

**RISKS****Schlumberger Ltd**

Downside risks: 1) SLB is the most exposed of its peers to the International and offshore markets. We expect these to display increasing strength over 2023-30. If this improvement fails to materialize as we expect, it could have an adverse impact on our SLB target price. 2) The international capex cycle is generally considered to be essentially supply driven with the North America's cycle is essentially demand driven. It remains to be seen whether a new decline in the oil price may also translate into a reduction in offshore capex. 3) SLB's ability to transform itself from an oil services into a new energy giant with the same level of margins remains a key element of uncertainty.

**Viridien**

Downside risks: 1) strong correlation with oil price & macro; 2) weak balance sheet raising the risks of a financial restructuring in case of a downturn; 3) likely asymmetric interest rate risk (higher financial costs if interest rates go up but stable financial costs if interest rates go down).

**Tenaris**

Downside risks to our price target include: Declining oil price. Further US anti-dumping measures. Lack of pricing power. Political changes in Argentina. Agency conflicts between the controlling shareholder and minority shareholders.

**Technip Energies**

Downside risk: 1) Longer blockade of the Strait of Hormuz, 2) Higher execution risk in a more inflationary environment and 3) Possible postponements of energy transition projects.

**Gaztransport & Technigaz**

Downside risks include: 1) Geopolitical risks; 2) Cancellations of LNGC orders; 3) Extra-costs associated with the revamp-of the commercial offers for Services, LNG as-a-fuel and Onshore tanks.

**RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION****EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

**Autonomous brand – common stocks**

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 500 Banks And Financial Services Index (BEBANKS) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 500 Insurance Index (BEINSUR) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLS) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp

- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

### **Autonomous brand – preferred stocks**

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

### **AUTONOMOUS CREDIT RESEARCH**

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

### **CREDIT RATINGS DEFINITIONS**

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Neutral (C-N): The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Underperform (C-UP): The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side)

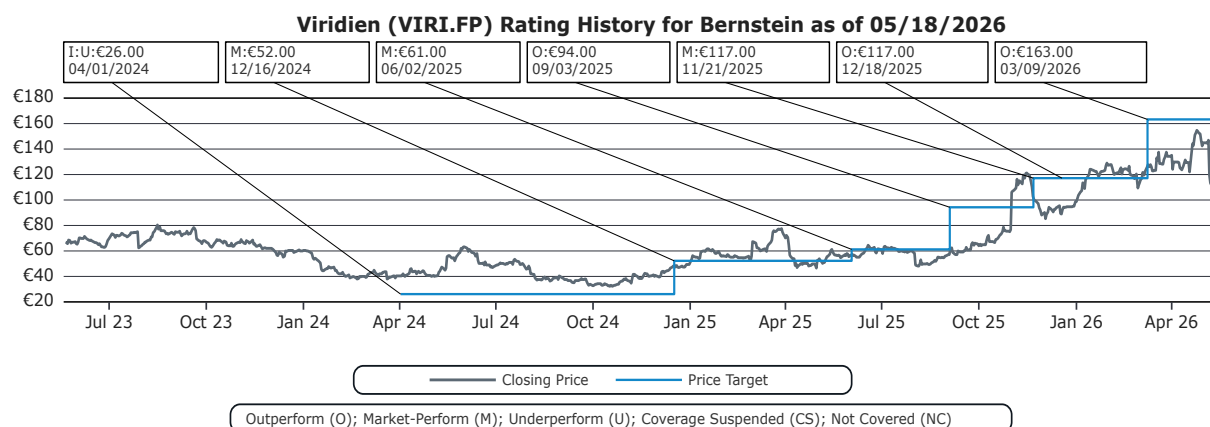
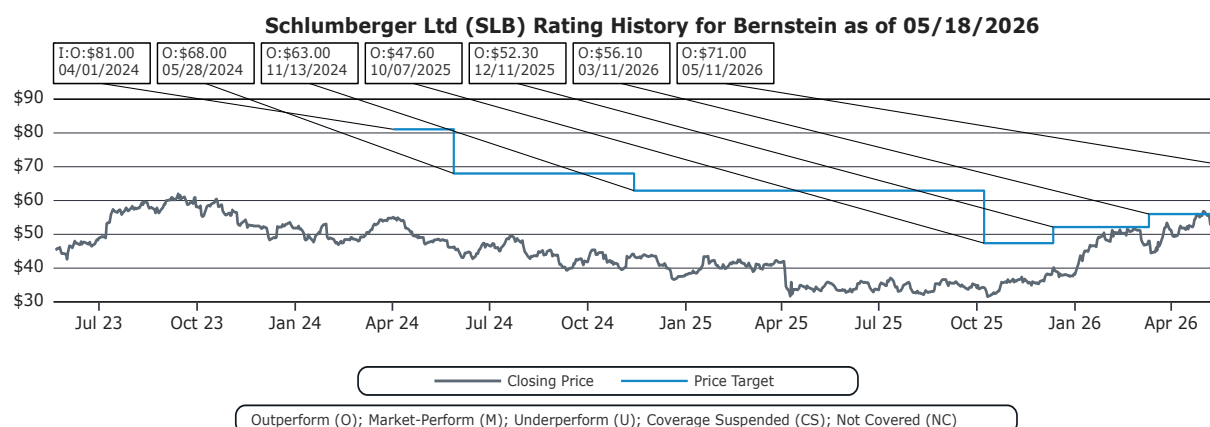
within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

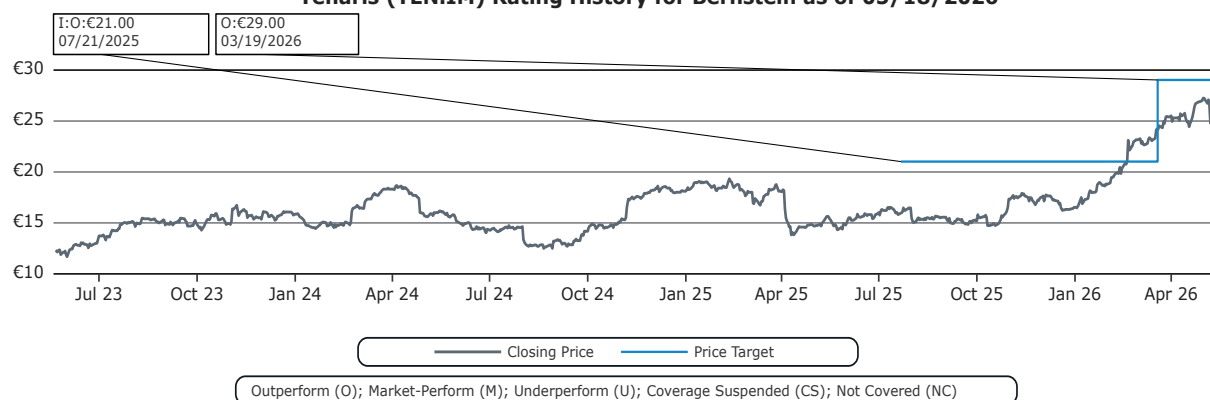
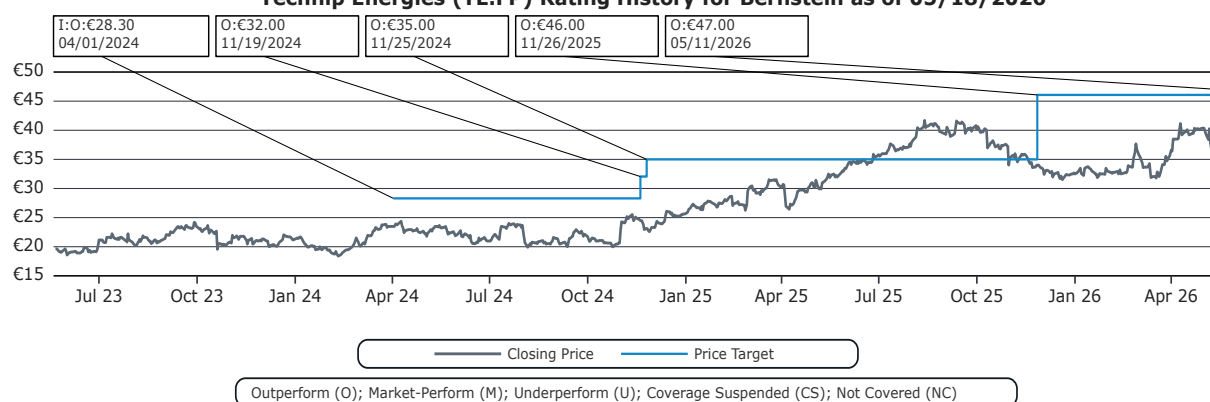
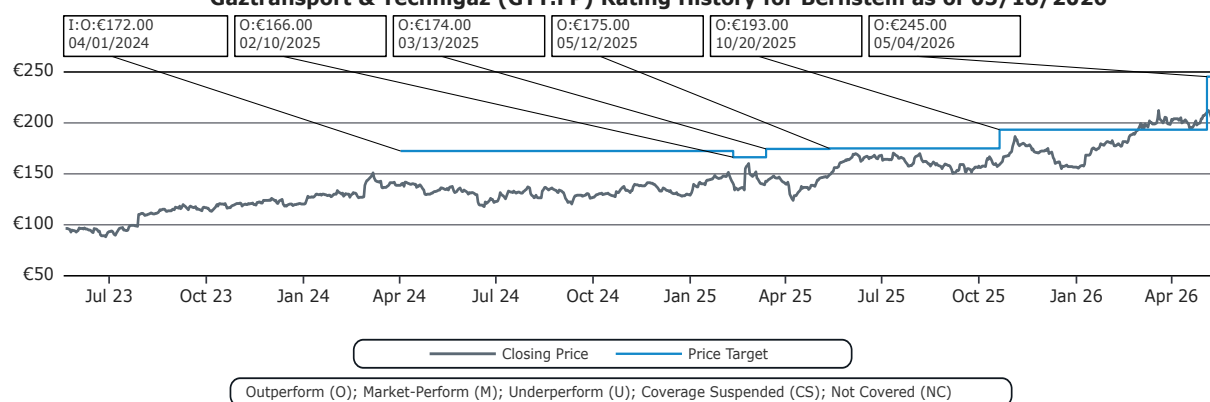
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| Equity Rating                                                  | Market Abuse Regulation (MAR) and FINRA Rating Category | Global Rating Distribution | Investment Banking Relationships* |
|----------------------------------------------------------------|---------------------------------------------------------|----------------------------|-----------------------------------|
| Outperform                                                     | BUY                                                     | 51.1%                      | 16.5%                             |
| Market-Perform (Bernstein Brand)<br>Neutral (Autonomous Brand) | HOLD                                                    | 36.3%                      | 17.8%                             |
| Underperform                                                   | SELL                                                    | 12.6%                      | 14.9%                             |

\* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.  
As of March 31, 2026. All figures are updated quarterly.

## PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY



**Tenaris (TEN.IM) Rating History for Bernstein as of 05/18/2026****Technip Energies (TE.FP) Rating History for Bernstein as of 05/18/2026****Gaztransport & Technigaz (GTT.FP) Rating History for Bernstein as of 05/18/2026**

All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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